Block practice · Exchange rates, the current account and trade-offs

Work through each question type in order. Each section has a worked-example retry and all further practice. Attempt only the part outlined in red.

Exchange rates: meaning and what moves a currency

Converting currencies with an exchange rate

Draw a change in a currency's exchange rate

Rising and falling currencies: effects on trade and the current account

Causes and effects of current account deficits and surpluses

Macroeconomic objectives and trade-offs

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Practice workbook · Exchange rates: meaning and what moves a currency

The exchange rate as the price of one currency in another, and how interest rates, speculators, trade flows and government currency dealing shift the demand for or supply of a currency.

7 question parts: 1 worked-example retry and 6 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T22-12

1. Question 3 · part d · 6 marks

2020 JAN · Paper 02

Worked-example retry · Attempt part d only.

3 (a) A fiscal surplus occurs when

(1)

- ☒ **A** a country exports more than it imports
- ☒ **B** government revenue is greater than government expenditure
- ☒ **C** a country imports more than it exports
- ☒ **D** government expenditure is greater than government revenue

(b) In an exchange rate system without government intervention, a rise in the exchange rate is known as

(1)

- ☒ **A** appreciation
- ☒ **B** devaluation
- ☒ **C** depreciation
- ☒ **D** revaluation

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1. Question 3 · part d · 6 marks

2020 JAN · Paper 02

Worked-example retry · Attempt part d only.

The rate of inflation in Cyprus decreased from 3.1% in September to 3% in October.

(c) Explain **one** reason why low and stable inflation is a macroeconomic objective for a country such as Cyprus.

(3)

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1. Question 3 · part d · 6 marks

2020 JAN · Paper 02

Worked-example retry · Attempt part d only.

In November 2018, the South African Monetary Policy Committee decided to increase interest rates by 0.25% to 6.75%. This decision affected the currency of South Africa, the Rand.

(d) Analyse the likely impact of an increase in interest rates on the currency of South Africa.

(6)

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1. Question 3 · part d · 6 marks

2020 JAN · Paper 02

Worked-example retry · Attempt part d only.

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QUESTION 3(e) BEGINS ON PAGE 18

1. Question 3 · part d · 6 marks

2020 JAN · Paper 02

Worked-example retry · Attempt part d only.

US President Donald Trump introduced lower business taxes in the hope of making the US more competitive globally. In 2017, business taxes in the US were 35% and a new lower rate of 21% was introduced in 2018. Donald Trump has plans to lower this to 15% in the future.

Business tax rates for selected OECD* countries 2018 (%)

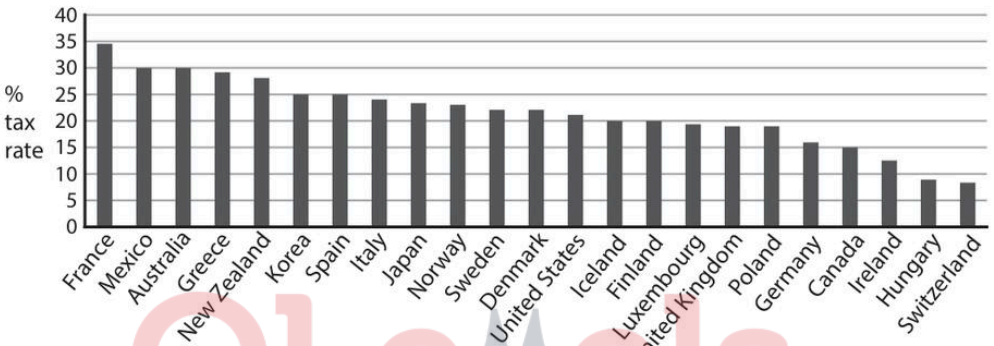


Figure 3

***OECD: Organisation for Economic Cooperation and Development.**

(Source: https://stats.oecd.org/index.aspx?DataSetCode=TABLE_II1)

(e) With reference to the data above and your knowledge of economics, assess the likely effectiveness of lower business taxes in stimulating investment in a country such as the US.

(9)

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1. Question 3 · part d · 6 marks · Working and answer

Working and answer

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2. Question 3 · part d · 6 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part d only.

3 (a) Which **one** of the following policies is most likely to reduce the rate of inflation?

(1)

- ☒ **A** Lower interest rates
- ☒ **B** Increased money supply
- ☒ **C** Higher government spending
- ☒ **D** Higher taxation

(b) In an exchange rate system with no government intervention, a decrease in the exchange rate is known as

(1)

- ☒ **A** appreciation
- ☒ **B** devaluation
- ☒ **C** depreciation
- ☒ **D** revaluation

In 2018, the annual rate of inflation in Egypt was 16% in September and 17.7% in October.

(c) Explain **one** likely impact of this change in inflation on the current account of the balance of payments for a country such as Egypt.

(3)

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2. Question 3 · part d · 6 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part d only.

The demand for the US$ changed following the publication in 2019 of the latest US growth rate report.

(d) Analyse the impact of currency speculators on the supply and demand of the currency for a country such as the US.

(6)

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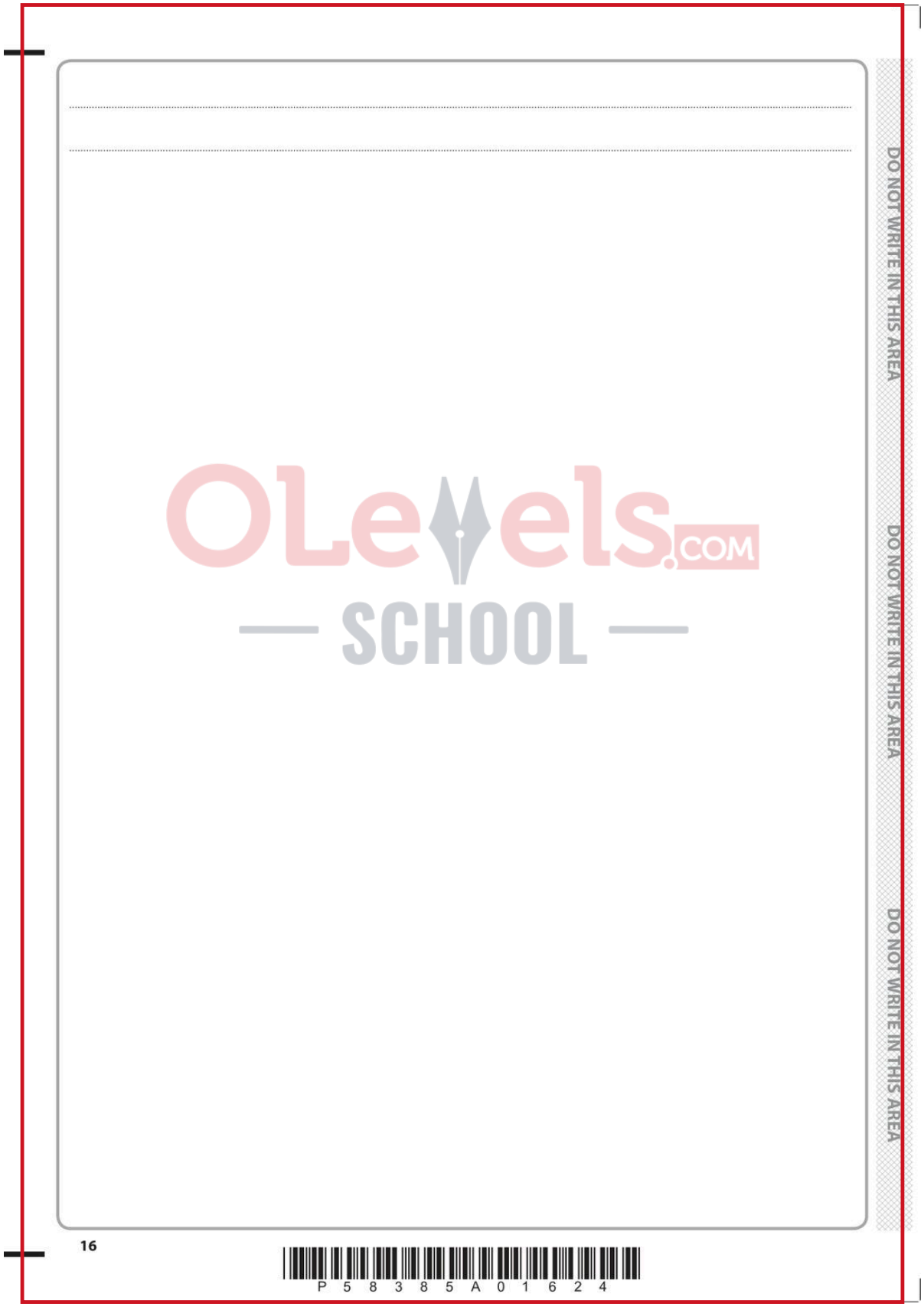
15

Turn over

2. Question 3 · part d · 6 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part d only.



2. Question 3 · part d · 6 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part d only.

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In Western Australia, single-use plastic bags were banned in July 2018 but fines were not enforced. However, from 2019, under new regulations, any shops providing customers with the banned plastic bags may face prosecution, with fines of up to AUS$5 000. The government is relying on shoppers to report retailers that break the rules.

The Environment Minister Stephen Dawson said the ban is well supported by the community. He said "Taking plastic bags out of litter is a significant step towards protecting our environment".

(e) With reference to the data above and your knowledge of economics, assess the likely effectiveness of regulation to protect the environment in a country such as Australia.

(9)

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2. Question 3 · part d · 6 marks · Working and answer

Working and answer

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3. Question 2 · part d · 2 marks

2020 NOV · Paper 02

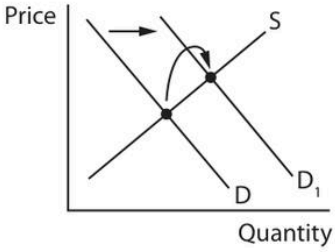
Further practice · Attempt part d only.

2 In 2019, India introduced tariffs against US agricultural products including apples, almonds and lentils.

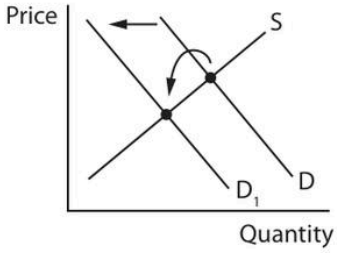
(a) Which **one** of the following diagrams shows the Indian market for apples, almonds and lentils following the introduction of the tariffs?

(1)

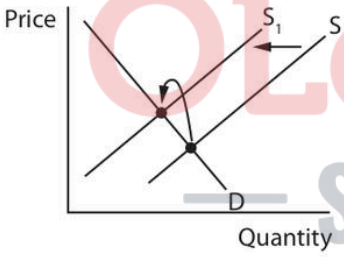
☒ **A**



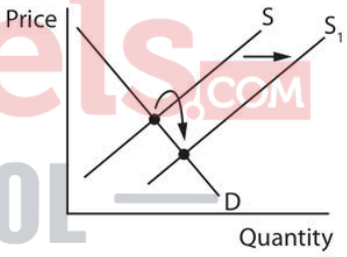
☒ **B**



☒ **C**



☒ **D**



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3. Question 2 · part d · 2 marks

2020 NOV · Paper 02

Further practice · Attempt part d only.

(b) Which supply-side policy involves the removal of government controls?

(1)

- ☒ **A** Deregulation
- ☒ **B** Education and training
- ☒ **C** Lower business taxes
- ☒ **D** Infrastructure spending

(c) State **one** disadvantage of free trade.

(1)

(d) What is meant by the term exchange rate?

(2)

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P 6 2 0 3 1 A 0 8 2 4

3. Question 2 · part d · 2 marks

2020 NOV · Paper 02

Further practice · Attempt part d only.

In 2018, Germany had a current account surplus of €268bn. Germany uses the euro (€) which had recently weakened against other major currencies.

(e) Explain **one** reason why a fall in the value of the euro (€) may have resulted in a positive impact on Germany's current account.

(3)

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3. Question 2 · part d · 2 marks · Working and answer

Working and answer

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4. Question 3 · part b · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part b only.

3 Figure 3 shows selected UK Government receipts from taxation in 2019.

	£bn
Sales tax (VAT)	186.3
Income tax	268.3
Tariffs	31.9
Business tax	53.4

Figure 3

(a) What is the total amount of revenue raised by direct taxes?

(1)

- ☒ **A** £454.6bn
- ☒ **B** £321.7bn
- ☒ **C** £218.2bn
- ☒ **D** £85.3bn

(b) A government can try to stop its exchange rate from appreciating by

(1)

- ☒ **A** increasing interest rates
- ☒ **B** selling its reserves of foreign currency
- ☒ **C** buying its own currency
- ☒ **D** selling its own currency

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P 6 5 8 9 9 R A 0 1 0 2 0

4. Question 3 · part b · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part b only.

The Government of Bangladesh provides subsidies of between 2% and 4% on the export of clothing. In 2019, it introduced additional subsidies of up to 10% for the export of 10 new products including home appliances.

(c) Explain **one** advantage of using subsidies for a country such as Bangladesh.

(3)

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4. Question 3 · part b · 1 mark · Working and answer

Working and answer

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5. Question 1 · part g · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

1 (a) Which **one** of the following is an example of cyclical unemployment?

(1)

- ☒ **A** Factory workers lose their jobs as more machines are used
- ☒ **B** Hotels employ fewer workers in the winter months
- ☒ **C** Workers are waiting to start a new job
- ☒ **D** An airline cuts jobs during a global recession

(b) A decrease in the exchange rate caused by government intervention is known as

(1)

- ☒ **A** depreciation
- ☒ **B** devaluation
- ☒ **C** revaluation
- ☒ **D** appreciation

(c) What is meant by the term exports?

(2)

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5. Question 1 · part g · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

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(d) Describe **one** impact that education may have on inequality and poverty.

(2)

The consumer price index (CPI) was 110.2 in 2019 and the base year was 100 in 2015.

(e) Calculate how much **inflation** there has been between 2015 and 2019. You are advised to show your working.

(2)

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5. Question 1 · part g · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

In 2020, the UK Government introduced subsidies for firms that provide renewable energy.

(f) Using the diagram below, draw the effects of the introduction of a subsidy on the equilibrium price and quantity of renewable energy. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

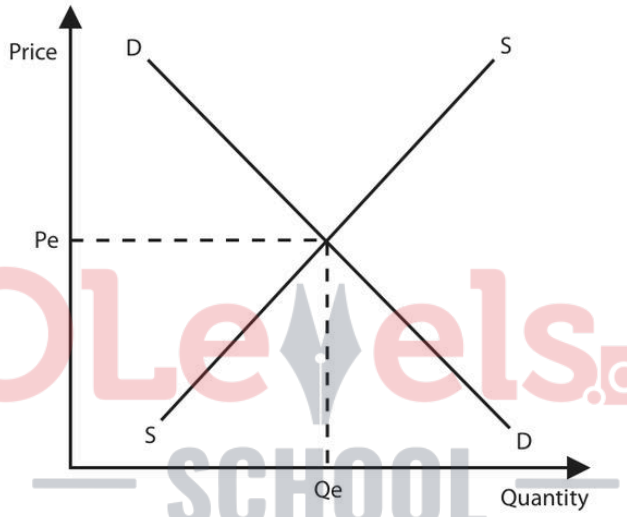


Figure 1

In March 2020, the Bank of England reduced interest rates from 0.75% to 0.10%. This decision affected the UK pound (£).

(g) Explain the likely impact of a decrease in UK interest rates on the UK pound (£).

(3)

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5. Question 1 · part g · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

In March 2020, the European Union (EU) and Vietnam reached a free trade agreement.

(h) With reference to the data above and your knowledge of economics, analyse the disadvantages of free trade for domestic businesses located within this free trade area.

(6)

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(Total for Question 1 = 20 marks)

5. Question 1 · part g · 3 marks · Working and answer

Working and answer

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6. Question 1 · part d · 2 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

1 (a) Menu costs could be described as the costs of

(1)

- ☒ **A** searching for cheaper suppliers when inflation is high
- ☒ **B** paying workers for their labour
- ☒ **C** renting a factory
- ☒ **D** reprinting brochures when prices change

(b) Which **one** of the following is likely to cause demand pull inflation?

(1)

- ☒ **A** A decrease in productivity
- ☒ **B** A decrease in government spending
- ☒ **C** An increase in the consumption of goods
- ☒ **D** An increase in interest rates

(c) What is meant by the term imports?

(2)

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6. Question 1 · part d · 2 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

(d) Describe the impact on the demand for a currency after an increase in interest rates.

(2)

Figure 1 shows Canada's imports and exports for the year ending 2020.

	CAD$bn
Imports	561
Exports	524
Total Trade	1 085

Figure 1

(Source: https://www150.statcan.gc.ca/n1/daily-quotidien/210414/dq210414a-eng.htm)

(e) Using the data in Figure 1, calculate in CAD$bn the **current account** for Canada for the year ending 2020. You are advised to show your working.

(2)

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6. Question 1 · part d · 2 marks · Working and answer

Working and answer

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7. Question 2 · part b · 1 mark

2025 NOV · Paper 02

Further practice · Attempt part b only.

2 (a) Which **one** of the following describes a trade bloc?

(1)

- ☒ **A** A group of countries that use the same currency
- ☒ **B** A group of countries that have the same tax rates
- ☒ **C** A group of countries that have the same language
- ☒ **D** A group of countries that reduce trade barriers between themselves

(b) Which **one** of the following best describes the role of currency speculators?

(1)

- ☒ **A** They invest in government bonds
- ☒ **B** They trade currencies to profit from changes in exchange rates
- ☒ **C** They lend money to countries at low interest rates
- ☒ **D** They keep exchange rates stable by fixing the currency

(c) State **one** possible role of the World Trade Organization (WTO).

(1)

(d) What is meant by the term economic growth?

(2)

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7. Question 2 · part b · 1 mark · Working and answer

Working and answer

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Practice workbook · Converting currencies with an exchange rate

Converting a price or value between currencies using a quoted exchange rate, multiplying or dividing according to the direction of the quote.

9 question parts: 1 worked-example retry and 8 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-CALC-23

1. Question 1 · part e · 2 marks

2025 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part e only.

1 (a) Which **one** of the following is an example of seasonal unemployment?

(1)

- ☒ **A** A farm worker having no work due to automation
- ☒ **B** A construction worker not finding work during the monsoon period
- ☒ **C** A skilled worker unable to find employment due to a recession
- ☒ **D** A person choosing not to work and being paid welfare benefits

(b) Which **one** of the following is likely to cause cost-push inflation?

(1)

- ☒ **A** An increase in consumer demand for goods and services
- ☒ **B** A decrease in taxes on business profits
- ☒ **C** An increase in the prices of raw materials paid by producers
- ☒ **D** A decrease in interest rates set by the central bank

(c) What is meant by the term current account deficit?

(2)

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1. Question 1 · part e · 2 marks

2025 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part e only.

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(d) Describe **one** benefit to a country of using quotas for imported goods.

(2)

(e) Calculate the **price in euros (€)** of a UK-manufactured smartphone priced at £750 when the exchange rate is £1 = €1.18. You are advised to show your working.

(2)

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P 7 2 1 3 5 A 0 3 2 8

1. Question 1 · part e · 2 marks

2025 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part e only.

In January 2024, China introduced a 6% tariff on coal from Russia, South Africa, Mongolia and the US.

(f) Using the diagram below, draw the effects of the introduction of the tariff on the equilibrium price and quantity of coal in China. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

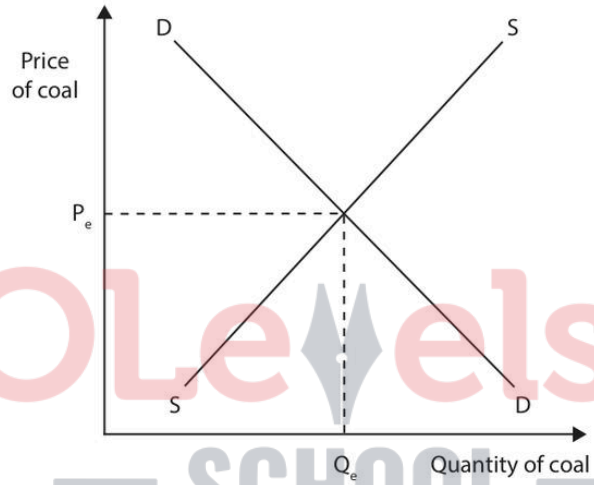


Figure 1

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1. Question 1 · part e · 2 marks · Working and answer

Working and answer

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2. Question 1 · part e · 2 marks

2019 JUN · Paper 02

Further practice · Attempt part e only.

1 (a) The increased integration and interdependence of economies is known as

(1)

- ☒ **A** privatisation
- ☒ **B** specialisation
- ☒ **C** protectionism
- ☒ **D** globalisation

(b) What is the main cause of frictional unemployment?

(1)

- ☒ **A** People choosing not to work
- ☒ **B** People having the wrong skills
- ☒ **C** People changing jobs
- ☒ **D** People employed at certain times of the year

(c) What is meant by the term interest rate?

(2)

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2. Question 1 · part e · 2 marks

2019 JUN · Paper 02

Further practice · Attempt part e only.

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(d) Describe **one** impact on consumers of a decrease in interest rates.

(2)

Rachel buys a t-shirt for 1 000 Kenyan shillings (KES) when she is on holiday.
The exchange rate is £1 = 137.73 KES.

(e) Calculate, to two decimal places, the price in sterling (£) of Rachel's t-shirt. You are advised to show your working.

(2)

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2. Question 1 · part e · 2 marks

2019 JUN · Paper 02

Further practice · Attempt part e only.

(f) Using the diagram below, draw the effects of the introduction of a quota on the equilibrium price and quantity of a good.
Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

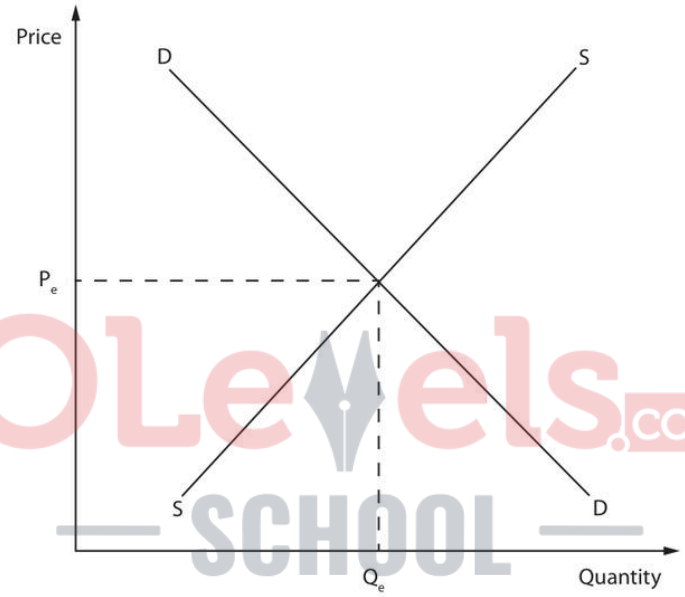


Figure 1

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P 6 0 7 4 8 A 0 4 2 4

2. Question 1 · part e · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 1 · part e · 2 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

1 (a) What is calculated by using the consumer price index (CPI)?

(1)

- ☒ **A** Redistribution of income
- ☒ **B** Inflation rate
- ☒ **C** Economic growth
- ☒ **D** Exchange rate

(b) The sale or transfer of public sector assets to the private sector is known as

(1)

- ☒ **A** monetary policy
- ☒ **B** public expenditure
- ☒ **C** privatisation
- ☒ **D** fiscal policy

(c) What is meant by the term boom?

(2)

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3. Question 1 · part e · 2 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

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(d) What is meant by the term shoe leather costs?

(2)

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(e) Calculate **the price in Indian Rupees (INR)** of machinery which costs $150 000 when the exchange rate is $1 = 70.66 INR. You are advised to show your working.

(2)

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3. Question 1 · part e · 2 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

Figure 1 shows the supply and demand of the pound (£) in terms of the euro (€).

(f) Using the diagram below, draw the effects on the exchange rate of the pound (£) of a decrease in UK exports to Eurozone countries. Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

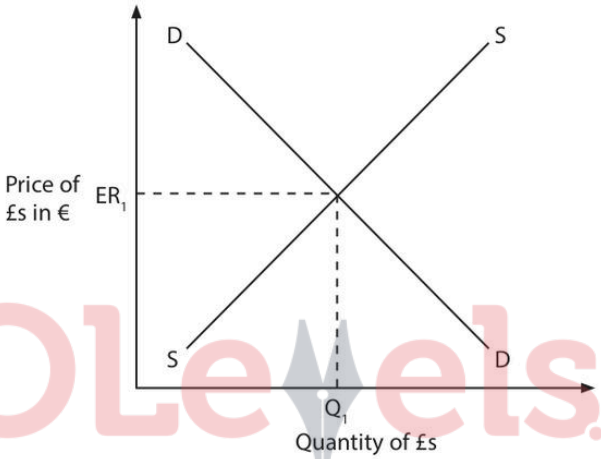


Figure 1

In November 2018, China launched its first ever anti-dumping investigation against Australia over the export of Australian barley.

(g) Explain **one** reason why a country such as Australia might export its products below the cost of production.

(3)

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3. Question 1 · part e · 2 marks · Working and answer

Working and answer

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4. Question 1 · part e · 2 marks

2021 NOV · Paper 02

Further practice · Attempt part e only.

1 (a) Which **one** of the following terms refers to a physical limit on the quantity of imported products allowed into a country?

(1)

- ☒ **A** Devaluation
- ☒ **B** Dumping
- ☒ **C** Public good
- ☒ **D** Quota

(b) Which **one** of the following names is given to the government policy that aims to increase the productive capacity of the economy?

(1)

- ☒ **A** Trade
- ☒ **B** Fiscal
- ☒ **C** Supply-side
- ☒ **D** Exchange rate

(c) What is meant by the term downturn?

(2)

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4. Question 1 · part e · 2 marks

2021 NOV · Paper 02

Further practice · Attempt part e only.

(d) What is meant by the term infant industries?

(2)

In August 2019 Inter Milan, an Italian football club, paid £73m to Manchester United for the transfer of footballer Romelu Lukaku. The exchange rate was £1 = €1.08.

(e) Calculate **the price Inter Milan paid in euros (€)** for the transfer of Romelu Lukaku. You are advised to show your working.

(2)

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4. Question 1 · part e · 2 marks

2021 NOV · Paper 02

Further practice · Attempt part e only.

In December 2019, the USA imposed a 10% tariff on toys imported from China.

(f) Using the diagram below, draw the likely effect of the introduction of this tariff on the equilibrium price and quantity of toys imported from China. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

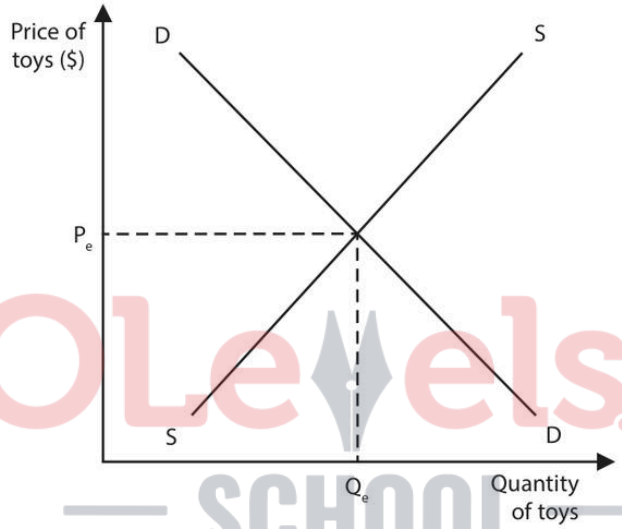


Figure 1

Economic growth in Malaysia increased to 4.9% between April and June 2019.

(g) Explain **one** disadvantage of economic growth for a country such as Malaysia.

(3)

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4. Question 1 · part e · 2 marks · Working and answer

Working and answer

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5. Question 1 · part e · 2 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

1 (a) What does the International Labour Organisation (ILO) measure?

(1)

- ☒ **A** Economic growth
- ☒ **B** Unemployment
- ☒ **C** Government spending
- ☒ **D** Inflation

(b) Which **one** of the following is considered to be a progressive tax in the UK?

(1)

- ☒ **A** Income tax
- ☒ **B** Value added tax (VAT)
- ☒ **C** Excise duties
- ☒ **D** Import tariff

(c) What is meant by the term deregulation?

(2)

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5. Question 1 · part e · 2 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

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(d) Describe **one** negative impact of economic growth.

(2)

(e) Calculate the **price in euros (€)** of a UK manufactured car priced at £15 000 when the exchange rate is £1 = €1.10. You are advised to show your working.

(2)

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5. Question 1 · part e · 2 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

In December 2020, the European Union (EU) decreased the 8% import tariff on lobsters from the US.

(f) Using the diagram below, draw the effects of the decrease in the tariff on the equilibrium price and quantity of US lobster imports into the EU. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

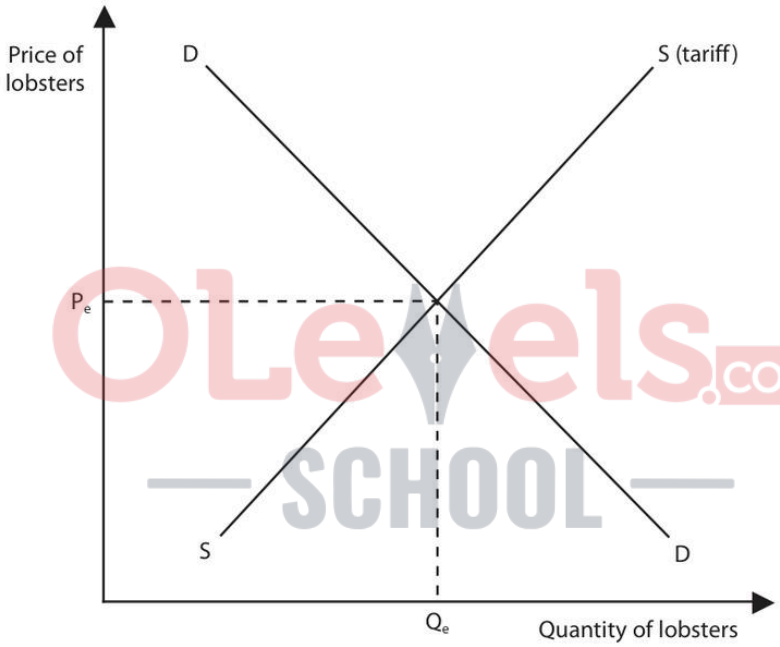


Figure 1

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P 7 1 5 5 8 A 0 4 2 4

5. Question 1 · part e · 2 marks · Working and answer

Working and answer

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6. Question 3 · part a · 1 mark

2023 NOV · Paper 02

Further practice · Attempt part a only.

3 (a) How many UK pounds (£) can be bought with $50 if the exchange rate is $1 = £0.75?

(1)

- ☒ **A** £25
- ☒ **B** £37.50
- ☒ **C** £66.66
- ☒ **D** £75

Many governments provide parks.

(b) Which **one** of the following is a reason for this provision?

(1)

- ☒ **A** To reduce the number of tourists
- ☒ **B** To reduce property values in the area
- ☒ **C** To reduce damage to the environment
- ☒ **D** To reduce space for leisure and recreation

South Korea had a current account surplus of $880m in October 2022.

(c) Explain **one** reason why an increase in the price of imports may have had a positive impact on South Korea's current account.

(3)

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6. Question 3 · part a · 1 mark · Working and answer

Working and answer

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7. Question 4 · part a · 2 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

4 Figure 5 shows the adult entry fee into the Corcovado National Park in Costa Rica and the current exchange rate between the British pound (£) and the Costa Rican colón (CRC).

Entry fee for 1 adult	1 600 CRC
Exchange rate: £ to CRC	£1 = 672 CRC

Figure 5

(a) Calculate, to two decimal places, **the price in British pounds (£)** of a park entry fee for 1 adult into the Corcovado National Park. You are advised to show your working.

(2)

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7. Question 4 · part a · 2 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

Costa Rica is a developing country that relies on the export of agricultural commodities such as coffee, bananas, pineapples and vegetables. In 2022, exports from Costa Rica to the UK were valued at £516m. Vegetables and fruit accounted for 73.4% of all goods exported to the UK from Costa Rica.

(b) With reference to the data above and your knowledge of economics, analyse how the trade patterns may differ between a developed and a developing country.

(6)

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7. Question 4 · part a · 2 marks · Working and answer

Working and answer

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8. Question 3 · part b · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part b only.

3 (a) Which **one** of the following is an example of foreign direct investment (FDI)?

(1)

- ☒ **A** A Japanese car company buying an Indonesian car company
- ☒ **B** An Indonesian supermarket buying produce from a farm in India
- ☒ **C** A Malaysian gift shop selling souvenirs to a Malaysian tourist
- ☒ **D** An Australian mining company selling coal to an Indonesian power station

The exchange rate between the US dollar ($) and the British pound (£) is $1 = £0.80

(b) How many US dollars ($) would it take to purchase £150?

(1)

- ☒ **A** $120.00
- ☒ **B** $150.80
- ☒ **C** $187.50
- ☒ **D** $230.00

The UK Government has removed the 12% import tariff on palm oil from Malaysia.

(c) Using the diagram below, draw the effects of the removal of the tariff on the equilibrium price and quantity of palm oil imported into the UK from Malaysia. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

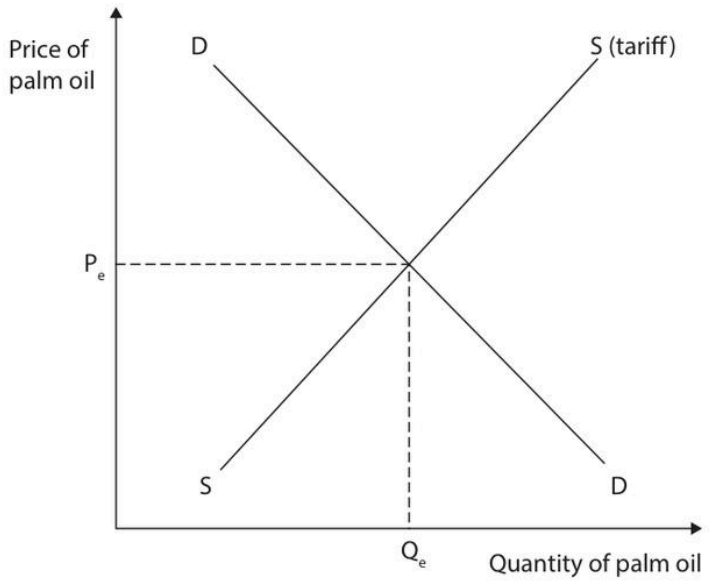


Figure 4

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8. Question 3 · part b · 1 mark · Working and answer

Working and answer

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9. Question 4 · part a · 2 marks

2025 NOV · Paper 02

Further practice · Attempt part a only.

4 France is one of the UK's largest export markets. In 2023, the total of UK exports to France was valued at £45bn.

The average exchange rate of £ to € was £1 = €1.15 in 2023.

(a) Calculate, to **two** decimal places, the **total value of UK exports** to France in euros (€bn) in 2023. You are advised to show your working.

(2)

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P 7 8 9 6 3 A 0 2 0 2 8

9. Question 4 · part a · 2 marks

2025 NOV · Paper 02

Further practice · Attempt part a only.

France is Europe's second largest consumer base with a high-income population. The French retail market is highly developed and its luxury sector is well known around the world. When exporting to France, UK firms must consider factors such as quality in order to be successful in this very competitive market.

(b) With reference to the data above and your knowledge of economics, analyse why an improvement in the quality of UK goods may result in a positive impact on the UK's current account.

(6)

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9. Question 4 · part a · 2 marks · Working and answer

Working and answer

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Practice workbook · Draw a change in a currency's exchange rate

Currency market diagram (price of the currency against quantity) showing how exports, imports, interest rates or speculation shift demand or supply, with the new equilibrium exchange rate and quantity.

9 question parts: 1 worked-example retry and 8 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T22-13

1. Question 2 · part f · 3 marks

2022 JUN · Paper 02

Worked-example retry · Attempt part f only.

2 (a) Globalisation results in increasing

(1)

- ☒ **A** levels of debt for all national economies
- ☒ **B** protectionism amongst national economies
- ☒ **C** amounts of legislation for national economies
- ☒ **D** integration and interdependence of national economies

(b) Which **one** of the following is a possible impact of economic growth?

(1)

- ☒ **A** An increase in unemployment
- ☒ **B** An increase in environmental damage
- ☒ **C** A reduction in investment
- ☒ **D** A reduction in tax revenues

(c) State **one** type of unemployment.

(1)

(d) What is meant by the term recovery?

(2)

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1. Question 2 · part f · 3 marks

2022 JUN · Paper 02

Worked-example retry · Attempt part f only.

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Nigeria's rate of inflation increased to 12.2% in February 2020. A rise in the price of food products, such as bread and meat, was the main reason for the increase.

(e) Explain **one** impact of rising inflation on shoe leather costs in Nigeria.

(3)

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1. Question 2 · part f · 3 marks

2022 JUN · Paper 02

Worked-example retry · Attempt part f only.

Figure 3 shows the supply of and demand for the UK pound (£) in terms of US dollars ($) and the equilibrium exchange rate.

(f) Using the diagram below, draw the effects on the exchange rate of the UK pound (£) from an increase in UK exports to the US. Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

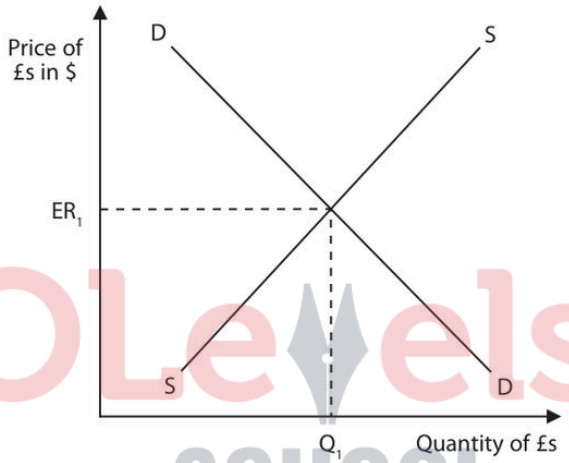


Figure 3

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1. Question 2 · part f · 3 marks

2022 JUN · Paper 02

Worked-example retry · Attempt part f only.

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After nearly 20 years of negotiations, the European Union (EU) and Mercosur, the South American trading bloc, have agreed a draft trade deal. It would create the largest free trade area in the world consisting of 770 million people. The two blocs currently trade more than €88bn in goods and €34bn in services every year.

The EU would eventually end 92% of the tariffs on Mercosur imports. Mercosur would gradually remove its tariffs on 91% of EU goods, which amounts to €4bn. This includes removing the tariffs on clothing, chemicals, wine and canned peaches. Mercosur farmers would be allowed to export a specific quantity of beef, sugar and chicken at a lower tariff rate to the EU each year.

(Source: https://www.dw.com/en/eu-mercosur-free-trade-deal-what-you-need-to-know/a-49414103)

(g) With reference to the data above and your knowledge of economics, assess the advantages of free trade for firms located within the EU.

(9)

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1. Question 2 · part f · 3 marks · Working and answer

Working and answer

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2. Question 1 · part f · 3 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

1 (a) In a recovery, a country's Gross Domestic Product (GDP)

(1)

- ☒ **A** rises
- ☒ **B** falls
- ☒ **C** stays the same
- ☒ **D** fluctuates

(b) A trade bloc is a group of countries that have

(1)

- ☒ **A** the same interest rate
- ☒ **B** common borders between members
- ☒ **C** the same currency
- ☒ **D** a reduction in trade barriers between members

(c) What is meant by the term multinational corporation (MNC)?

(2)

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2. Question 1 · part f · 3 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

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(d) Describe **one** impact of economic growth on the productive potential of a country.

(2)

Figure 1 shows the main components of Germany's current account in 2016.

	€ billion
Trade in goods (visibles)	+271.7
Trade in services (invisibles)	-22.4

Figure 1

(Source: Bundesbank)

(e) Using the data in Figure 1, calculate in € bn the current account balance for Germany in 2016.

(2)

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2. Question 1 · part f · 3 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

(f) The UK exports goods to eurozone countries. Using the diagram below, draw the effects of an increase in exports from the UK to the eurozone on the exchange rate of the £. Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

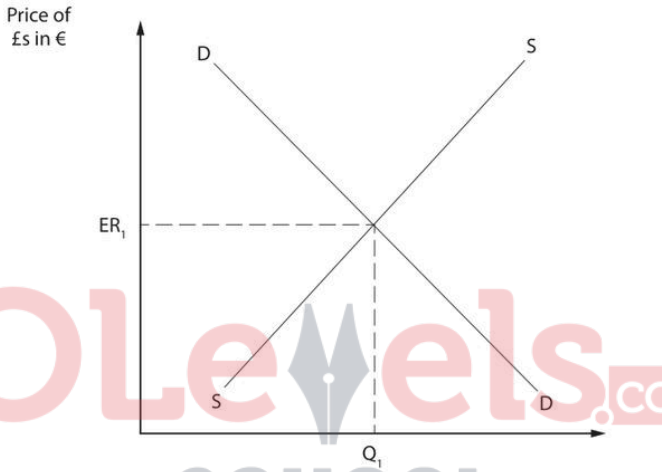


Figure 2

In September 2017, the growth rate of the gross domestic product (GDP) in the UK was 0.4%, a slight increase of 0.1% on the previous quarter.

(g) Explain **one** reason why economic growth is a key macroeconomic objective for a country such as the UK.

(3)

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2. Question 1 · part f · 3 marks · Working and answer

Working and answer

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3. Question 1 · part f · 3 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part f only.

1 (a) What is calculated by using the consumer price index (CPI)?

(1)

- ☒ **A** Redistribution of income
- ☒ **B** Inflation rate
- ☒ **C** Economic growth
- ☒ **D** Exchange rate

(b) The sale or transfer of public sector assets to the private sector is known as

(1)

- ☒ **A** monetary policy
- ☒ **B** public expenditure
- ☒ **C** privatisation
- ☒ **D** fiscal policy

(c) What is meant by the term boom?

(2)

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3. Question 1 · part f · 3 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part f only.

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(d) What is meant by the term shoe leather costs?

(2)

(e) Calculate **the price in Indian Rupees (INR)** of machinery which costs $150 000 when the exchange rate is $1 = 70.66 INR. You are advised to show your working.

(2)

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3. Question 1 · part f · 3 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part f only.

Figure 1 shows the supply and demand of the pound (£) in terms of the euro (€).

(f) Using the diagram below, draw the effects on the exchange rate of the pound (£) of a decrease in UK exports to Eurozone countries. Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

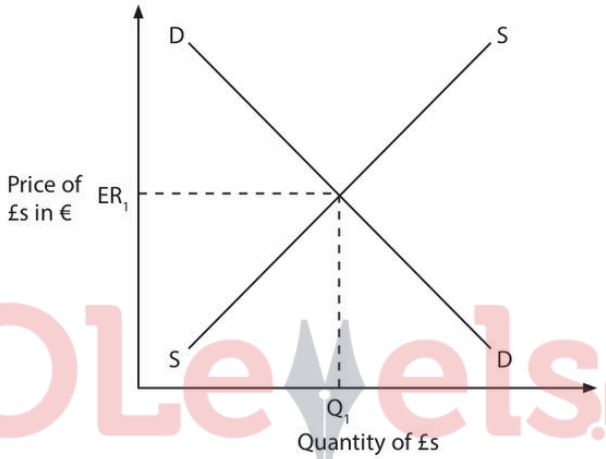


Figure 1

In November 2018, China launched its first ever anti-dumping investigation against Australia over the export of Australian barley.

(g) Explain **one** reason why a country such as Australia might export its products below the cost of production.

(3)

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3. Question 1 · part f · 3 marks · Working and answer

Working and answer

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4. Question 1 · part f · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part f only.

1 (a) Which **one** of the following describes the recovery phase of the economic cycle?

(1)

- ☒ **A** GDP is growing at its fastest and business activity increases
- ☒ **B** GDP starts to rise and economic activity is on the increase
- ☒ **C** GDP is still growing but more slowly
- ☒ **D** GDP falls for two successive quarters

(b) Which **one** of the following is an example of frictional unemployment?

(1)

- ☒ **A** A bank cuts jobs during a global recession
- ☒ **B** Workers are unemployed whilst waiting to start a new job
- ☒ **C** Fewer workers are employed on fruit farms in the winter months
- ☒ **D** Factory workers lose their jobs as more machines are used

(c) What is meant by the term exports?

(2)

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4. Question 1 · part f · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part f only.

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(d) What is meant by the term globalisation?

(2)

The consumer price index (CPI) was 105.4 in 2021 and it was 100 in the base year 2018.

(e) Calculate how much the **average price level** increased between 2018 and 2021.
You are advised to show your working.

(2)

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4. Question 1 · part f · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part f only.

Figure 1 shows the supply of and demand for UK pounds (£) in terms of US dollars ($) and the equilibrium exchange rate.

(f) Using the diagram below, draw the effects of a decrease in UK exports to the US on the equilibrium exchange rate of UK pounds (£). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

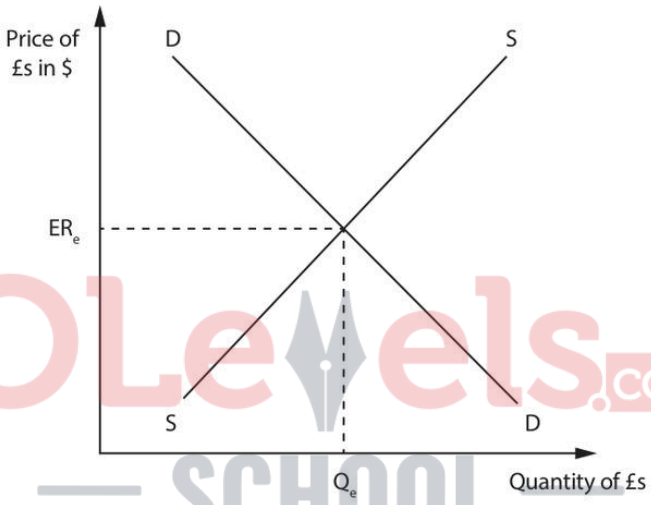


Figure 1

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4. Question 1 · part f · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part f only.

The UK's annual inflation rate was 5.1% in December 2021, its highest rate in a decade. The rise was due to higher prices for transport, food, clothing and footwear.

(g) Explain **one** effect of rising inflation on menu costs in the UK.

(3)

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4. Question 1 · part f · 3 marks · Working and answer

Working and answer

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5. Question 2 · part f · 3 marks

2023 NOV · Paper 02

Further practice · Attempt part f only.

2 (a) What is the main reason for a government to devalue its currency?

(1)

- ☒ **A** To increase the demand for its exports
- ☒ **B** To decrease the demand for its exports
- ☒ **C** To increase the demand for imports
- ☒ **D** To decrease foreign investment

(b) Which **one** of the following is the most likely reason for increased globalisation?

(1)

- ☒ **A** An increase in tariffs and quotas
- ☒ **B** An increase in the cost of transport
- ☒ **C** An increase in the significance of MNCs
- ☒ **D** An increase in the cost of communication

(c) State **one** possible macroeconomic objective for a government.

(1)

(d) What is meant by the term seasonal unemployment?

(2)

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5. Question 2 · part f · 3 marks

2023 NOV · Paper 02

Further practice · Attempt part f only.

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In 2022, Vietnam's economy grew by 8.02%, exceeding its annual target of 6.5%.

(e) Explain **one** reason why rapid economic growth may be harmful for an economy such as Vietnam.

(3)

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5. Question 2 · part f · 3 marks

2023 NOV · Paper 02

Further practice · Attempt part f only.

Figure 2 shows the supply of and demand for UK pounds (£) in terms of US dollars ($) and the equilibrium exchange rate.

(f) Using the diagram below, draw the effect of an increase in UK exports to the US on the equilibrium exchange rate of the UK pound (£). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

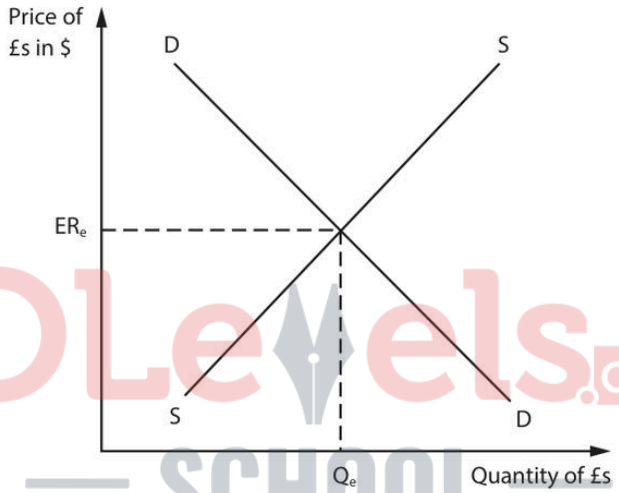


Figure 2

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5. Question 2 · part f · 3 marks

2023 NOV · Paper 02

Further practice · Attempt part f only.

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In April 2023, the UK Government increased the business tax rate from 19% to 25%. The higher rate is expected to raise around £18bn in additional tax revenue per year. The change brings the UK's business tax rate to the same rate as other large economies.

Due to this tax change, Associated British Foods, the owner of Primark and other firms, is expected to pay an additional £20m in tax per year.

Business tax rates of major economies



Figure 3

(g) With reference to the data above and your knowledge of economics, assess the disadvantages of higher business tax rates on investment in a country such as the UK.

(9)

P 7 3 4 9 9 R A 0 9 2 4

Turn over ▶

5. Question 2 · part f · 3 marks · Working and answer

Working and answer

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6. Question 2 · part f · 3 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

2 (a) Which **one** of the following is the calculation for the rate of unemployment in a country?

(1)

- ☒ **A** Total labour force/Total population × 100
- ☒ **B** Number of unemployed/Total labour force × 100
- ☒ **C** Number of employed/Total labour force × 100
- ☒ **D** Total unemployment/Total population × 100

(b) Which **one** of the following describes a role of the World Trade Organization (WTO)?

(1)

- ☒ **A** Help with trade negotiations
- ☒ **B** Regulates multinational corporations
- ☒ **C** Provides financial assistance to developing countries
- ☒ **D** Stabilises exchange rates

(c) State **one** possible reason for a current account surplus.

(1)

(d) What is meant by the term relative poverty?

(2)

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6. Question 2 · part f · 3 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

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In March 2020, the European Central Bank (ECB) purchased €1.85 trillion worth of assets including government bonds and corporate bonds.

(e) Explain **one** benefit of asset purchasing by a central bank such as the ECB.

(3)

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6. Question 2 · part f · 3 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

Figure 3 shows the supply of and demand for UK pounds (£), as well as the equilibrium exchange rate against the euro (€). UK interest rates increased from 4% to 4.25% in March 2023.

(f) Using the diagram below, draw the likely effect of this rise in UK interest rates on the equilibrium exchange rate of the UK pound (£) against the euro (€). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

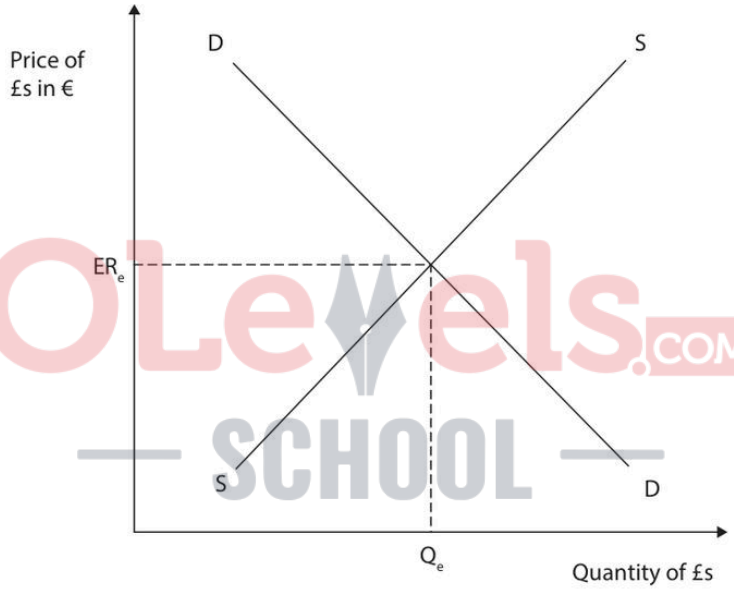


Figure 3

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6. Question 2 · part f · 3 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

The Chinese economy only grew by 3% in 2022. However, in 2023 exports increased by 14.8% compared to the previous year, suggesting that China would achieve its growth target of 5%.

By March 2023, China was experiencing an economic recovery with the services and construction sectors reaching a 12-year high.

However, China's export recovery is expected to be temporary. This is because of possible weaker global demand due to interest rate rises in many economies.

(g) With reference to the data above and your knowledge of economics, assess how a recovery may affect unemployment for a country such as China.

(9)

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6. Question 2 · part f · 3 marks · Working and answer

Working and answer

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7. Question 2 · part f · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part f only.

2 (a) Which **one** of the following is a rise in the value of an exchange rate in a floating exchange rate system?

(1)

- ☒ **A** Appreciation
- ☒ **B** Depreciation
- ☒ **C** Revaluation
- ☒ **D** Devaluation

(b) Which **one** of the following is a reason why there is protection for international trade?

(1)

- ☒ **A** To allow dumping
- ☒ **B** To promote free trade
- ☒ **C** To protect domestic jobs
- ☒ **D** To increase the current account deficit

(c) State **one** possible impact of globalisation on consumers.

(1)

(d) What is meant by the term asset purchasing?

(2)

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7. Question 2 · part f · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part f only.

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In China there are restrictions on coal consumption and emissions from factories. These restrictions have led to job losses in some industries.

(e) Explain **one** reason why there might be a trade-off between economic growth and environmental protection for an economy such as China.

(3)

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7. Question 2 · part f · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part f only.

Figure 3 shows the supply of and demand for UK pounds (£) and the equilibrium exchange rate against the US dollar ($).

(f) Using the diagram below, draw the likely effect of a decrease in imports from the US on the equilibrium exchange rate of the UK pound (£) against the US dollar ($). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

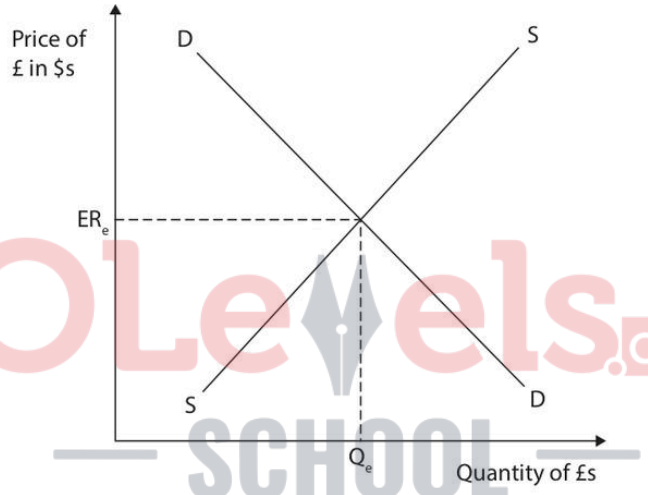


Figure 3

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7. Question 2 · part f · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part f only.

ChatGPT is the latest example of artificial intelligence (AI)* technology. There are increased concerns that AI will cause the loss of jobs for millions of workers. This includes Wall Street traders, salespeople, writers of basic computer code and journalists.

IBM has stopped recruiting for 7,800 jobs that could be eventually replaced by AI. British Telecom (BT) predicted that AI would replace 10,000 jobs by 2030.

**The use of computer systems to perform tasks normally undertaken by humans.*

(g) With reference to the data above and your knowledge of economics, assess the possible impact of the introduction of AI on the levels of structural unemployment.

(9)

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7. Question 2 · part f · 3 marks · Working and answer

Working and answer

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8. Question 2 · part f · 3 marks

2025 JUN · Paper 02

Further practice · Attempt part f only.

2 (a) Which **one** of the following is a government policy that changes the rate of interest?

(1)

- ☒ **A** Fiscal
- ☒ **B** Supply-side
- ☒ **C** Monetary
- ☒ **D** Exchange rate

(b) Which **one** of the following is an example of deregulation?

(1)

- ☒ **A** Introducing a limit on government salaries
- ☒ **B** Allowing more foreign firms into the domestic market
- ☒ **C** Introducing compulsory employee training requirements
- ☒ **D** Increasing consumer protection laws

(c) State **one** possible advantage of foreign direct investment (FDI) for an economy.

(1)

(d) What is meant by the term indirect tax?

(2)

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8. Question 2 · part f · 3 marks

2025 JUN · Paper 02

Further practice · Attempt part f only.

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The World Health Organization estimates that 4.5 billion people are classed as being in poverty because they do not have access to essential healthcare.

(e) Explain **one** way government provision of healthcare can help to reduce poverty.

(3)

OLevels.COM SCHOOL

8. Question 2 · part f · 3 marks

2025 JUN · Paper 02

Further practice · Attempt part f only.

Figure 3 shows the supply of and demand for UK pounds (£) against the US dollar ($). Currency speculators think the value of the UK pound (£) is going to rise in the future.

(f) Using the diagram below, draw the likely effect of currency speculators on the equilibrium exchange rate of the UK pound (£) against the US dollar ($). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

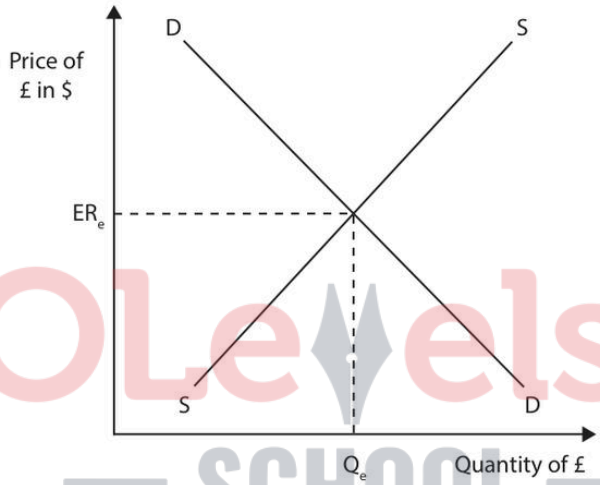


Figure 3

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8. Question 2 · part f · 3 marks

2025 JUN · Paper 02

Further practice · Attempt part f only.

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In September 2023, South Korea signed a free trade agreement (FTA) with the Philippines. This removed a 5% import tariff on South Korean cars and a 30% import tariff on South Korean car parts.

The Philippines has the 12th largest population in the world and is one of the biggest car and car parts importers. In 2023, the total number of car sales in the Philippines was 366,000.

South Korean-made cars account for 2.5% of the Philippine car market. It is dominated by Japanese-made cars, which have an 82.5% market share.

(g) With reference to the data above and your knowledge of economics, assess the possible benefits for the South Korean car industry from the removal of tariffs by the Philippines.

(9)

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8. Question 2 · part f · 3 marks · Working and answer

Working and answer

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9. Question 1 · part f · 3 marks

2025 NOV · Paper 02

Further practice · Attempt part f only.

1 (a) Which **one** of the following best defines deflation?

(1)

- ☒ **A** A continuous rise in the general price level of goods and services
- ☒ **B** A situation where the economy grows rapidly
- ☒ **C** A decrease in the general price level of goods and services over time
- ☒ **D** A period of very low economic activity and high unemployment

(b) Which **one** of the following is an example of a supply-side policy?

(1)

- ☒ **A** Investing in education and training
- ☒ **B** Asset purchasing by a central bank
- ☒ **C** Increasing taxes on high-income earners
- ☒ **D** Increasing the interest rate

(c) What is meant by the term demand-pull inflation?

(2)

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9. Question 1 · part f · 3 marks

2025 NOV · Paper 02

Further practice · Attempt part f only.

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(d) Describe **one** advantage of privatisation for a consumer.

(2)

A country has a labour force of 4.3 million with 550,000 people unemployed.

(e) Calculate, to **two** decimal places, the country's **percentage rate of unemployment**. You are advised to show your working.

(2)

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9. Question 1 · part f · 3 marks

2025 NOV · Paper 02

Further practice · Attempt part f only.

Figure 1 shows the supply of and demand for UK pounds (£) and the equilibrium exchange rate against the euro (€).

(f) Using the diagram below, draw the likely effect of an increase in imports from Europe on the equilibrium exchange rate of the UK pound (£) against the euro (€). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

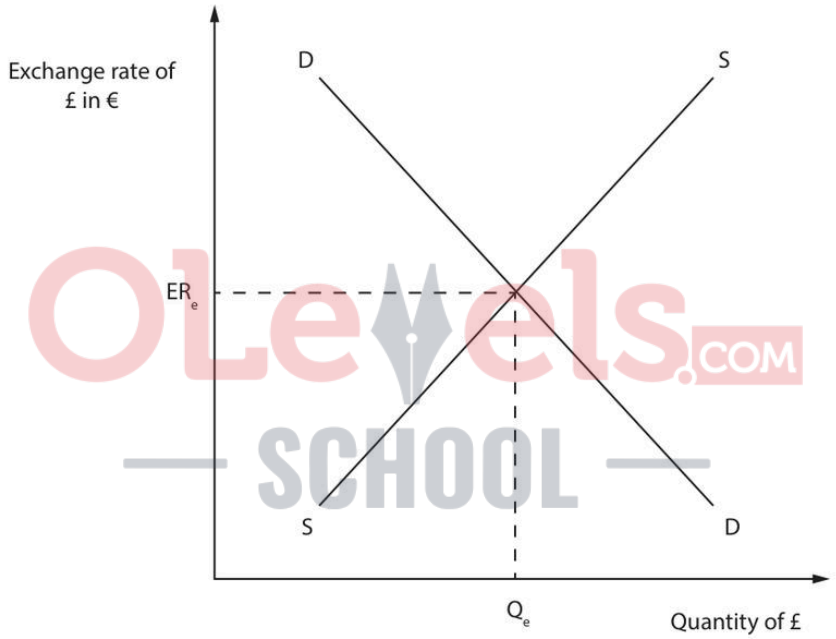


Figure 1

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9. Question 1 · part f · 3 marks

2025 NOV · Paper 02

Further practice · Attempt part f only.

In March 2024, after 15 years of negotiations, India announced a free trade agreement with four European countries: Switzerland, Iceland, Norway and Liechtenstein. The free trade agreement is expected to create one million jobs over the coming years.

(g) Explain **one** advantage of free trade for a business in a country such as Iceland.

(3)

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9. Question 1 · part f · 3 marks · Working and answer

Working and answer

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Practice workbook · Rising and falling currencies: effects on trade and the current account

Market-driven (appreciation/depreciation) versus government-set (revaluation/devaluation) changes in a currency, reading a change from quoted rates, and the effects on export and import prices, demand for exports and imports, and the current account.

17 question parts: 1 worked-example retry and 16 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T22-14

1. Question 2 · part e · 3 marks

2020 NOV · Paper 02

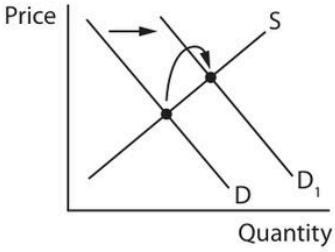
Worked-example retry · Attempt part e only.

2 In 2019, India introduced tariffs against US agricultural products including apples, almonds and lentils.

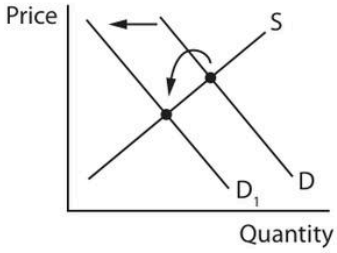
(a) Which **one** of the following diagrams shows the Indian market for apples, almonds and lentils following the introduction of the tariffs?

(1)

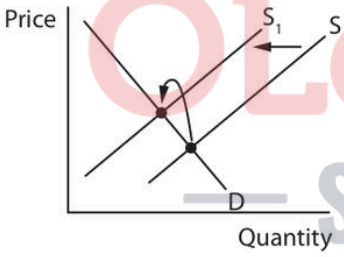
☒ **A**



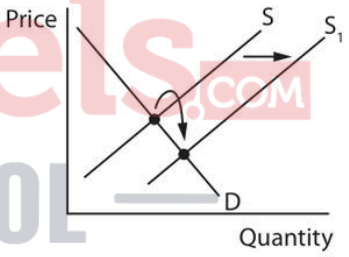
☒ **B**



☒ **C**



☒ **D**



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1. Question 2 · part e · 3 marks

2020 NOV · Paper 02

Worked-example retry · Attempt part e only.

(b) Which supply-side policy involves the removal of government controls?

(1)

- ☒ **A** Deregulation
- ☒ **B** Education and training
- ☒ **C** Lower business taxes
- ☒ **D** Infrastructure spending

(c) State **one** disadvantage of free trade.

(1)

(d) What is meant by the term exchange rate?

(2)

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1. Question 2 · part e · 3 marks

2020 NOV · Paper 02

Worked-example retry · Attempt part e only.

In 2018, Germany had a current account surplus of €268bn. Germany uses the euro (€) which had recently weakened against other major currencies.

(e) Explain **one** reason why a fall in the value of the euro (€) may have resulted in a positive impact on Germany's current account.

(3)

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1. Question 2 · part e · 3 marks

2020 NOV · Paper 02

Worked-example retry · Attempt part e only.

In 2019, the Indian Government privatised six major state-owned airports. It handed over the operations, management and development of the airports to private sector firms for the next 50 years.

(f) Explain **one** way privatisation could improve productivity in these Indian airports.

(3)

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1. Question 2 · part e · 3 marks · Working and answer

Working and answer

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2. Question 2 · part e · 3 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

2 (a) GDP per capita is a measure of a country's economic output that accounts for population.

If Sweden has a population of 10 million and a GDP of $511 bn (1bn = 1 000 000 000), then its GDP per capita is

(1)

- ☒ **A** $511
- ☒ **B** $5 110
- ☒ **C** $51 100
- ☒ **D** $511 000

(b) What is the name of the policy that focuses on interest rate changes?

(1)

- ☒ **A** Deregulation
- ☒ **B** Exchange rate
- ☒ **C** Monetary
- ☒ **D** Fiscal

(c) State **one** impact of a current account deficit.

(1)

(d) What is meant by the term absolute poverty?

(2)

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2. Question 2 · part e · 3 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

In December 2017 the Thai baht appreciated to its highest value in 2 years against the US dollar. The Thai baht is predicted to continue its gradual appreciation in 2018.

(e) Explain **one** disadvantage of an appreciating currency for an economy such as Thailand.

(3)

President Xi Jinping of China has made environmental protection a priority. This is due to rising public concern over widespread environmental damage caused by years of uncontrolled economic growth.

(f) Explain **one** possible negative effect on the environment caused by the economic growth of a country such as China.

(3)

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2. Question 2 · part e · 3 marks · Working and answer

Working and answer

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3. Question 2 · part e · 3 marks

2019 JUN · Paper 02

Further practice · Attempt part e only.

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2 The price of a basket of goods and services used to calculate the Consumer Price Index (CPI) in an economy, rose from €1 250 to €1 300 in one year.

(a) What is the rate of inflation?

(1)

- ☒ **A** 0.96%
- ☒ **B** 1.04%
- ☒ **C** 4%
- ☒ **D** 5%

(b) What is the name of the term used to describe tax on income, wealth and profit?

(1)

- ☒ **A** Direct taxation
- ☒ **B** Value added tax
- ☒ **C** Excise duties
- ☒ **D** Indirect taxation

(c) State **one** way businesses can damage the environment.

(1)

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(d) What is meant by the term supply-side policy?

(2)

3. Question 2 · part e · 3 marks

2019 JUN · Paper 02

Further practice · Attempt part e only.

In October 2017 the currency of the Philippines, the peso, fell to its lowest level against the US dollar in more than 11 years.

(e) Explain **one** advantage of having a depreciating currency for an economy such as the Philippines.

(3)

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P 6 0 7 4 8 A 0 8 2 4

3. Question 2 · part e · 3 marks

2019 JUN · Paper 02

Further practice · Attempt part e only.

According to the UN there are now over 63,000 multinational corporations (MNCs) and the number is growing daily. Many well-known MNCs, including PepsiCo, the Tata Group and Microsoft, are expanding in India.

(f) Explain **one** possible reason for the emergence of MNCs in a country such as India.

(3)

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3. Question 2 · part e · 3 marks · Working and answer

Working and answer

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4. Question 2 · part d · 2 marks

2020 JAN · Paper 02 (regional R)

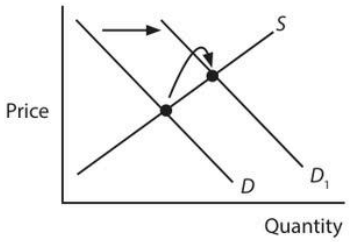
Further practice · Attempt part d only.

2 In 2018, the European Union (EU) trade bloc started to reduce agricultural subsidies to farmers within the EU.

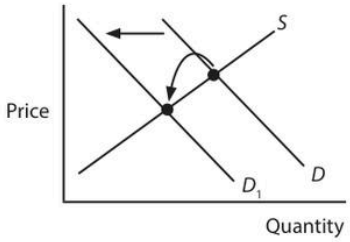
(a) Which **one** of the following diagrams shows the market for agricultural products following the removal of the subsidy?

(1)

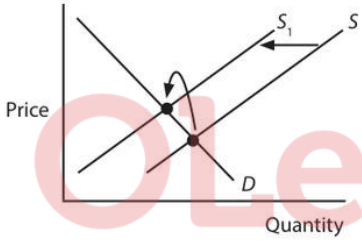
☒ **A**



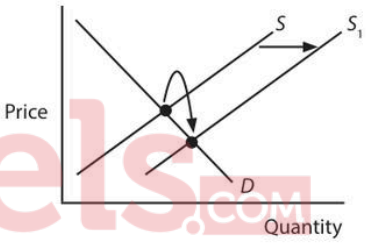
☒ **B**



☒ **C**



☒ **D**



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4. Question 2 · part d · 2 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part d only.

(b) Which **one** of the following is likely to result from an increase in free trade?

(1)

- ☒ **A** Increased prices
- ☒ **B** Increased choice for consumers
- ☒ **C** Decrease in standards of living
- ☒ **D** Decrease in market opportunities for business

(c) State **one** macroeconomic objective.

(1)

(d) What is meant by the term revaluation?

(2)

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Turn over ▶

4. Question 2 · part d · 2 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part d only.

India set a target for its fiscal deficit of 3.3% of its GDP for the year ending March 2019.

(e) Explain **one** reason why the Indian Government's fiscal deficit is likely to stimulate economic growth.

(3)

In 2017, the tertiary sector contributed 69.3% to Germany's GDP and the secondary sector contributed 30.1%. In comparison, the primary sector only accounted for 0.6% of GDP.

(f) Explain a typical trade pattern for a developed country such as Germany.

(3)

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P 5 8 3 8 5 A 0 1 0 2 4

4. Question 2 · part d · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

5. Question 3 · part b · 1 mark

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part b only.

3 (a) Which **one** of the following policies is most likely to reduce the rate of inflation?

(1)

- ☒ **A** Lower interest rates
- ☒ **B** Increased money supply
- ☒ **C** Higher government spending
- ☒ **D** Higher taxation

(b) In an exchange rate system with no government intervention, a decrease in the exchange rate is known as

(1)

- ☒ **A** appreciation
- ☒ **B** devaluation
- ☒ **C** depreciation
- ☒ **D** revaluation

In 2018, the annual rate of inflation in Egypt was 16% in September and 17.7% in October.

(c) Explain **one** likely impact of this change in inflation on the current account of the balance of payments for a country such as Egypt.

(3)

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5. Question 3 · part b · 1 mark · Working and answer

Working and answer

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6. Question 3 · part b · 1 mark

2020 JAN · Paper 02

Further practice · Attempt part b only.

3 (a) A fiscal surplus occurs when

(1)

- ☒ **A** a country exports more than it imports
- ☒ **B** government revenue is greater than government expenditure
- ☒ **C** a country imports more than it exports
- ☒ **D** government expenditure is greater than government revenue

(b) In an exchange rate system without government intervention, a rise in the exchange rate is known as

(1)

- ☒ **A** appreciation
- ☒ **B** devaluation
- ☒ **C** depreciation
- ☒ **D** revaluation

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6. Question 3 · part b · 1 mark

2020 JAN · Paper 02

Further practice · Attempt part b only.

The rate of inflation in Cyprus decreased from 3.1% in September to 3% in October.

(c) Explain **one** reason why low and stable inflation is a macroeconomic objective for a country such as Cyprus.

(3)

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6. Question 3 · part b · 1 mark · Working and answer

Working and answer

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7. Question 2 · part a · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part a only.

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2 In 2018, the Indonesian rupiah depreciated to its lowest levels since 1997 against other major currencies.

(a) This depreciation is likely to have caused

(1)

- ☒ **A** an increase in exports and a decrease in imports
- ☒ **B** a decrease in exports and a decrease in imports
- ☒ **C** an increase in exports and an increase in imports
- ☒ **D** a decrease in exports and an increase in imports

(b) Which of the following is used as a measure of economic growth?

(1)

- ☒ **A** ILO
- ☒ **B** CPI
- ☒ **C** GDP
- ☒ **D** FDI

(c) State **one** reason why a government wants to reduce poverty and inequality.

(1)

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(d) What is meant by the term infrastructure?

(2)

7. Question 2 · part a · 1 mark · Working and answer

Working and answer

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8. Question 2 · part a · 1 mark

2021 JUN · Paper 02

Further practice · Attempt part a only.

2 (a) An appreciation in a country's exchange rate is most likely to lead to which **one** of the following?

(1)

- ☒ **A** An increase in exports and a decrease in imports
- ☒ **B** A decrease in exports and a decrease in imports
- ☒ **C** An increase in exports and an increase in imports
- ☒ **D** A decrease in exports and an increase in imports

(b) Which **one** of the following is likely to result in poverty?

(1)

- ☒ **A** High literacy rates
- ☒ **B** Low GDP per capita
- ☒ **C** Low rates of tax
- ☒ **D** High employment rates

(c) State **one** effect on the balance of payments of improved quality of foreign goods.

(1)

(d) What is meant by the term free trade?

(2)

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8. Question 2 · part a · 1 mark · Working and answer

Working and answer

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9. Question 2 · part a · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part a only.

2 (a) A depreciation in a country's exchange rate is most likely to lead to which **one** of the following?

(1)

- ☒ **A** Lower inflation
- ☒ **B** Higher exports
- ☒ **C** Increased unemployment
- ☒ **D** Increased budget surplus

(b) Which **one** of the following terms may refer to someone having a lower standard of living in comparison to the average person in society?

(1)

- ☒ **A** Absolute poverty
- ☒ **B** Income distribution
- ☒ **C** Relative poverty
- ☒ **D** Poverty trap

(c) State **one** effect on the balance of payments of improved quality of domestic goods.

(1)

(d) What is meant by the term fiscal policy?

(2)

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9. Question 2 · part a · 1 mark · Working and answer

Working and answer

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10. Question 1 · part b · 1 mark

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

1 (a) Which **one** of the following is an example of cyclical unemployment? (1)

- ☒ **A** Factory workers lose their jobs as more machines are used
- ☒ **B** Hotels employ fewer workers in the winter months
- ☒ **C** Workers are waiting to start a new job
- ☒ **D** An airline cuts jobs during a global recession

(b) A decrease in the exchange rate caused by government intervention is known as (1)

- ☒ **A** depreciation
- ☒ **B** devaluation
- ☒ **C** revaluation
- ☒ **D** appreciation

(c) What is meant by the term exports? (2)

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10. Question 1 · part b · 1 mark · Working and answer

Working and answer

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11. Question 3 · part b · 1 mark

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part b only.

3 (a) Which **one** of the following is an example of Foreign Direct Investment (FDI)?

(1)

- ☒ **A** An Indian garment factory selling clothes to the UK
- ☒ **B** The Indian Government investing in the Indian rail network
- ☒ **C** The construction of a factory in India by a Chinese firm
- ☒ **D** An Indian supermarket opening new stores in India

(b) If the exchange rate changes from £1 = $1.40 to £1 = $1.30 then

(1)

- ☒ **A** the UK pound (£) has appreciated against the US dollar ($)
- ☒ **B** US holidays will be cheaper for UK tourists
- ☒ **C** US exports to the UK will be cheaper
- ☒ **D** UK exports to the US will be cheaper

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11. Question 3 · part b · 1 mark

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part b only.

In November 2020, Pakistan recorded a current account surplus of $1.64bn. This was its fifth consecutive current account surplus.

(c) Explain **one** reason why an improvement in the quality of domestic goods may have resulted in a positive impact on Pakistan's current account.

(3)

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P 7 1 5 5 8 A 0 1 4 2 4

11. Question 3 · part b · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

12. Question 2 · part g · 9 marks

2023 JAN · Paper 02

Further practice · Attempt part g only.

2 (a) Money earned from foreign tourists visiting Canada is shown in Canada's current account on the balance of payments as:

(1)

- ☒ **A** visible exports
- ☒ **B** visible imports
- ☒ **C** invisible exports
- ☒ **D** invisible imports

(b) Which **one** of the following is likely to help protect the environment?

(1)

- ☒ **A** An increase in fines
- ☒ **B** An increase in pollution permits
- ☒ **C** A reduction in regulation
- ☒ **D** A reduction in the provision of parks

(c) State **one** possible disadvantage of economic growth.

(1)

(d) What is meant by the term privatisation?

(2)

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12. Question 2 · part g · 9 marks

2023 JAN · Paper 02

Further practice · Attempt part g only.

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In March 2021, the Scottish Government announced a package of measures worth £37.2m. This money is to be given to low income households to tackle poverty and inequality in Scotland.

(e) Explain **one** possible reason why the Scottish Government wants to reduce poverty and inequality.

(3)

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12. Question 2 · part g · 9 marks

2023 JAN · Paper 02

Further practice · Attempt part g only.

(f) Using the diagram below, label the remaining **three** stages of the economic cycle in the boxes on the diagram.

(3)

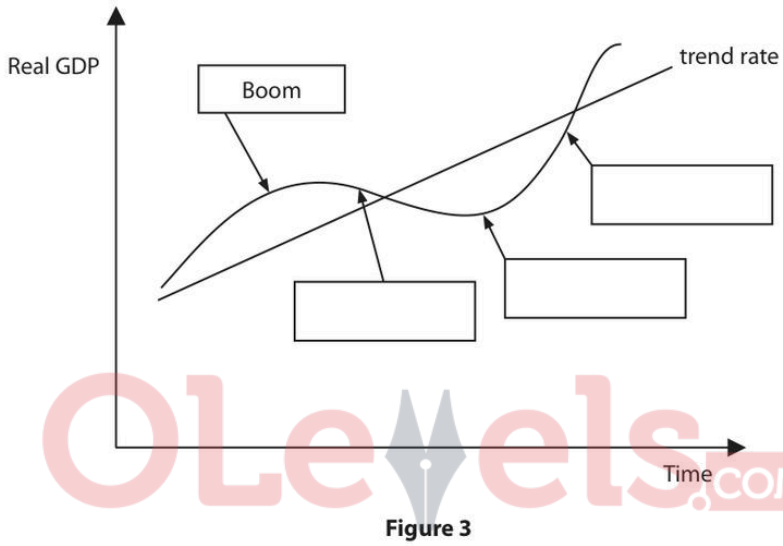


Figure 3

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12. Question 2 · part g · 9 marks

2023 JAN · Paper 02

Further practice · Attempt part g only.

In 2020, 2% of US exports went to Australia. The main categories of goods exported included machinery, vehicles, medical instruments and aircraft. The US dollar ($) depreciated against the Australian dollar (AUD) in 2020.

(g) With reference to the data above and your knowledge of economics, assess the likely impact on the demand for US exports to Australia after the depreciation of the US dollar.

(9)

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12. Question 2 · part g · 9 marks

2023 JAN · Paper 02

Further practice · Attempt part g only.

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(Total for Question 2 = 20 marks)

12. Question 2 · part g · 9 marks · Working and answer

Working and answer

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13. Question 2 · part b · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

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2 (a) When a central bank buys government bonds from commercial banks it is known as

(1)

- ☒ **A** asset purchasing
- ☒ **B** privatisation
- ☒ **C** payment of interest
- ☒ **D** deregulation

The euro (€) is the currency used in Italy and the pound sterling (£) is the currency used in the UK.

(b) If the exchange rate changes from £1 = €1.20 to £1 = €1.10 then

(1)

- ☒ **A** UK pound sterling (£) has appreciated against the euro (€)
- ☒ **B** holidays in Italy will be cheaper for UK tourists
- ☒ **C** imports from Italy to the UK will be cheaper
- ☒ **D** UK exports to Italy will be cheaper

(c) State **one** possible trade-off with economic growth.

(1)

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(d) What is meant by the term devaluation?

(2)

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P 7 4 0 5 9 R A 0 7 2 4

7

Turn over ▶

13. Question 2 · part b · 1 mark · Working and answer

Working and answer

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14. Question 2 · part d · 2 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

2 (a) When a central bank buys government bonds from commercial banks it is known as

(1)

- ☒ **A** asset purchasing
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- ☒ **C** payment of interest
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- ☒ **D** UK exports to Italy will be cheaper

(c) State **one** possible trade-off with economic growth.

(1)

(d) What is meant by the term devaluation?

(2)

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14. Question 2 · part d · 2 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

US President Joe Biden recently signed a deal to fund 32,000 kilometres of new roads and 10,000 new bridges to improve the US infrastructure.

(e) Explain **one** way government spending on infrastructure can benefit an economy such as the US.

(3)

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P 7 4 0 5 9 R A 0 8 2 4

14. Question 2 · part d · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

15. Question 2 · part a · 1 mark

2023 NOV · Paper 02

Further practice · Attempt part a only.

2 (a) What is the main reason for a government to devalue its currency?

(1)

- ☒ **A** To increase the demand for its exports
- ☒ **B** To decrease the demand for its exports
- ☒ **C** To increase the demand for imports
- ☒ **D** To decrease foreign investment

(b) Which **one** of the following is the most likely reason for increased globalisation?

(1)

- ☒ **A** An increase in tariffs and quotas
- ☒ **B** An increase in the cost of transport
- ☒ **C** An increase in the significance of MNCs
- ☒ **D** An increase in the cost of communication

(c) State **one** possible macroeconomic objective for a government.

(1)

(d) What is meant by the term seasonal unemployment?

(2)

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15. Question 2 · part a · 1 mark · Working and answer

Working and answer

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16. Question 2 · part a · 1 mark

2024 NOV · Paper 02

Further practice · Attempt part a only.

2 (a) Which **one** of the following is a rise in the value of an exchange rate in a floating exchange rate system?

(1)

- ☒ **A** Appreciation
- ☒ **B** Depreciation
- ☒ **C** Revaluation
- ☒ **D** Devaluation

(b) Which **one** of the following is a reason why there is protection for international trade?

(1)

- ☒ **A** To allow dumping
- ☒ **B** To promote free trade
- ☒ **C** To protect domestic jobs
- ☒ **D** To increase the current account deficit

(c) State **one** possible impact of globalisation on consumers.

(1)

(d) What is meant by the term asset purchasing?

(2)

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16. Question 2 · part a · 1 mark · Working and answer

Working and answer

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17. Question 2 · part b · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

2 (a) The percentage of income tax paid by an individual in a progressive tax system

(1)

- ☒ **A** remains the same for all income levels
- ☒ **B** decreases with higher income levels
- ☒ **C** increases with higher income levels
- ☒ **D** is capped once income levels reach a certain threshold

(b) A depreciation in a country's exchange rate is most likely to lead to

(1)

- ☒ **A** an increase in exports and a decrease in imports
- ☒ **B** a decrease in exports and a decrease in imports
- ☒ **C** an increase in exports and an increase in imports
- ☒ **D** a decrease in exports and an increase in imports

(c) State **one** possible trade-off with inflation.

(1)

(d) What is meant by the term direct tax?

(2)

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P 7 2 1 3 5 A 0 8 2 8

17. Question 2 · part b · 1 mark · Working and answer

Working and answer

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Practice workbook · Causes and effects of current account deficits and surpluses

How quality and prices of domestic and foreign goods, and exchange rates, change exports and imports. Also covers the impacts of deficits and surpluses (leakage, inflation, reserves, export demand).

16 question parts: 1 worked-example retry and 15 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T21-14

1. Question 3 · part e · 9 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part e only.

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3 (a) Cost-push inflation is most likely to result from an increase in **(1)**

- ☒ **A** the rate of income tax
- ☒ **B** productivity
- ☒ **C** wage rates
- ☒ **D** government spending

(b) Monetary policy would involve changes in which one of the following? **(1)**

- ☒ **A** Government spending
- ☒ **B** Interest rates
- ☒ **C** Taxation
- ☒ **D** Balance of payments

The consumption of avocados in the US used to be restricted to the summer months when farmers in California harvested their crops. Now avocados are available all year and 90% are imported from Mexico.

(c) Explain **one** way globalisation has affected consumers in the US. **(3)**

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1. Question 3 · part e · 9 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part e only.

In August 2018, Mondelez, a food and beverage multinational corporation (MNC), opened its first factories in Bangladesh. Previously, Mondelez had been exporting its products into Bangladesh for 15 years.

(d) Analyse why a MNC, such as Mondelez, might want to invest in Bangladesh.

(6)

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1. Question 3 · part e · 9 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part e only.

Indonesia's Economic Minister Darmin Nasution said that the current account deficit would reach 3% of gross domestic product (GDP) by the end of 2018.

"Yes, it is a bit high, but nothing to worry about. The deficit in 2014 was even higher," said Darmin Nasution.

Meanwhile, senior economist Faisal Basri called on the government to take the growing current account deficit as a serious matter because it could have negative effects on the economy.

(e) With reference to the data above and your knowledge of economics, assess the impact of a current account deficit for a country such as Indonesia.

(9)

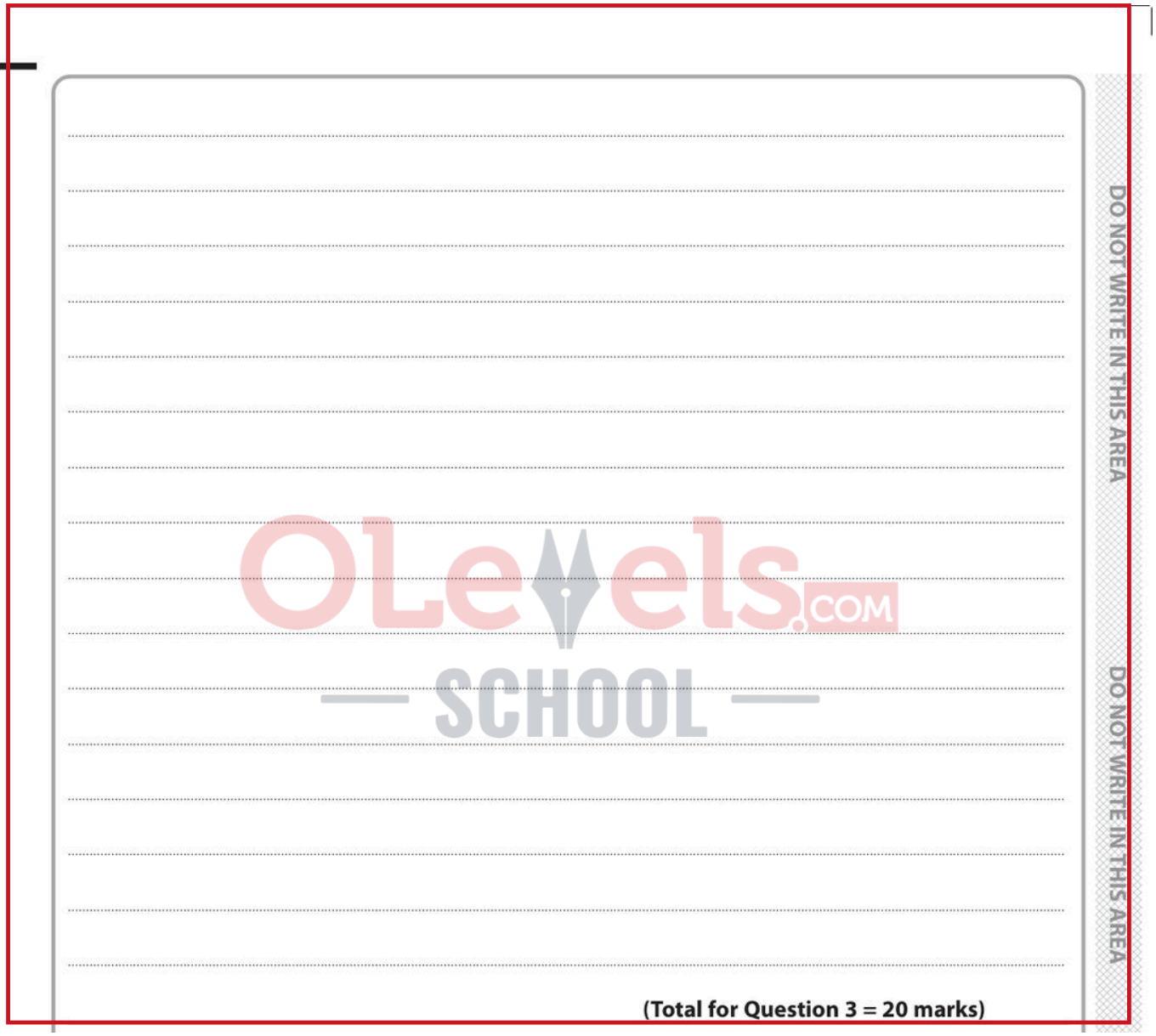
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1. Question 3 · part e · 9 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part e only.



1. Question 3 · part e · 9 marks · Working and answer

Working and answer

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2. Question 1 · part g · 3 marks

2020 JAN · Paper 02

Further practice · Attempt part g only.

1 (a) International trade that takes place with no restrictions is known as

(1)

- ☒ **A** globalisation
- ☒ **B** protectionism
- ☒ **C** free trade
- ☒ **D** Foreign Direct Investment

(b) What is the name given to a country's exports and imports of services?

(1)

- ☒ **A** Visible trade
- ☒ **B** Invisible trade
- ☒ **C** Transfer payments
- ☒ **D** The balance of payments

(c) What is meant by the term unemployment?

(2)

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2. Question 1 · part g · 3 marks

2020 JAN · Paper 02

Further practice · Attempt part g only.

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(d) What is meant by the term trade-off?

(2)

(e) Calculate, to **two** decimal places, the **rate of unemployment** for a country which has a labour force of 72 million of which 8 million are unemployed. You are advised to show your working.

(2)

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2. Question 1 · part g · 3 marks

2020 JAN · Paper 02

Further practice · Attempt part g only.

(f) Using the diagram below, draw the effects of the introduction of a tariff on the equilibrium price and quantity of a good. Label the new curve, the new equilibrium price and quantity.

(3)

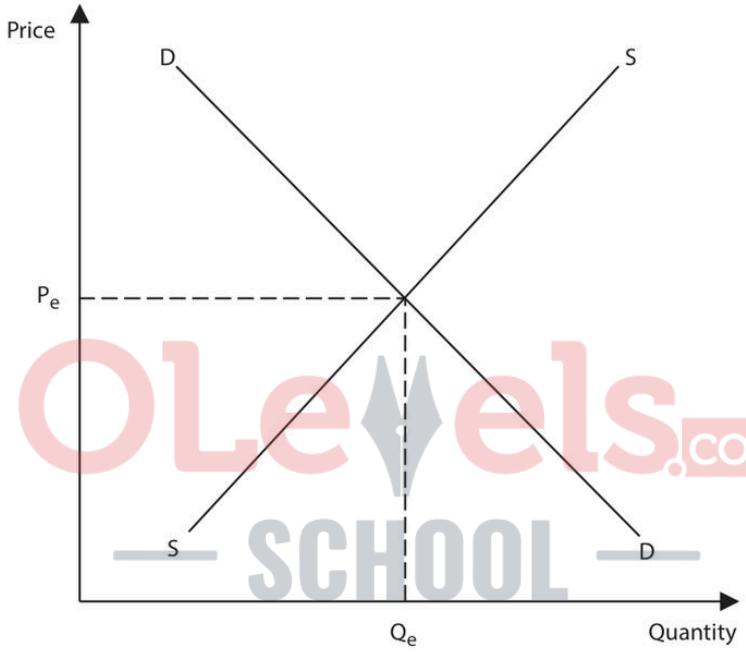


Figure 1

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P 5 8 3 8 4 A 0 4 2 4

2. Question 1 · part g · 3 marks

2020 JAN · Paper 02

Further practice · Attempt part g only.

In November 2018, Mexico's current account deficit increased to $5.082bn.

(g) Explain **one** reason why the quality of domestic goods might have resulted in this increase in the current account deficit for Mexico.

(3)

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2. Question 1 · part g · 3 marks

2020 JAN · Paper 02

Further practice · Attempt part g only.

Australia has referred India to the World Trade Organization (WTO) because of the $725m subsidies it pays to its sugar cane farmers.

(h) Analyse why the Indian Government might have given subsidies to its sugar cane farmers.

(6)

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(Total for Question 1 = 20 marks)

2. Question 1 · part g · 3 marks · Working and answer

Working and answer

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3. Question 2 · part c · 1 mark

2021 JUN · Paper 02

Further practice · Attempt part c only.

2 (a) An appreciation in a country's exchange rate is most likely to lead to which **one** of the following?

(1)

- ☒ **A** An increase in exports and a decrease in imports
- ☒ **B** A decrease in exports and a decrease in imports
- ☒ **C** An increase in exports and an increase in imports
- ☒ **D** A decrease in exports and an increase in imports

(b) Which **one** of the following is likely to result in poverty?

(1)

- ☒ **A** High literacy rates
- ☒ **B** Low GDP per capita
- ☒ **C** Low rates of tax
- ☒ **D** High employment rates

(c) State **one** effect on the balance of payments of improved quality of foreign goods.

(1)

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(d) What is meant by the term free trade?

(2)

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P 6 5 8 9 8 A 0 6 2 0

3. Question 2 · part c · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 2 · part c · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part c only.

2 (a) A depreciation in a country's exchange rate is most likely to lead to which **one** of the following?

(1)

- ☒ **A** Lower inflation
- ☒ **B** Higher exports
- ☒ **C** Increased unemployment
- ☒ **D** Increased budget surplus

(b) Which **one** of the following terms may refer to someone having a lower standard of living in comparison to the average person in society?

(1)

- ☒ **A** Absolute poverty
- ☒ **B** Income distribution
- ☒ **C** Relative poverty
- ☒ **D** Poverty trap

(c) State **one** effect on the balance of payments of improved quality of domestic goods.

(1)

(d) What is meant by the term fiscal policy?

(2)

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4. Question 2 · part c · 1 mark · Working and answer

Working and answer

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5. Question 3 · part b · 1 mark

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

3 (a) Which **one** of the following describes shoe leather costs?

(1)

- ☒ **A** The costs of raw materials used to make a good or service
- ☒ **B** The costs of communication used by a firm
- ☒ **C** The costs of searching for cheaper suppliers when inflation is high
- ☒ **D** The costs to firms of having to make repeated price changes

(b) Which **one** of the following may cause a current account surplus?

(1)

- ☒ **A** Lower priced foreign goods
- ☒ **B** Higher priced domestic goods
- ☒ **C** Lower import tariffs on foreign goods
- ☒ **D** Higher quality of domestic goods

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5. Question 3 · part b · 1 mark

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

In 2020, the Kazakhstan Government introduced quotas of 200,000 tonnes on imported wheat and 70,000 tonnes on imported flour.

(c) Explain **one** possible reason why the Kazakhstan Government introduced quotas on imports of wheat and flour.

(3)

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5. Question 3 · part b · 1 mark · Working and answer

Working and answer

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6. Question 1 · part g · 3 marks

2022 JUN · Paper 02

Further practice · Attempt part g only.

1 (a) A firm is described as a multinational corporation (MNC) if it

(1)

- ☒ **A** has shareholders in many countries
- ☒ **B** exports goods to other countries
- ☒ **C** is owned by the government
- ☒ **D** operates in more than one country

(b) An increase in which **one** of the following would be most likely to encourage saving?

(1)

- ☒ **A** Interest rate
- ☒ **B** Income tax rate
- ☒ **C** Exchange rate
- ☒ **D** Indirect tax rate

(c) What is meant by the term imports?

(2)

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6. Question 1 · part g · 3 marks

2022 JUN · Paper 02

Further practice · Attempt part g only.

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(d) Describe **one** reason why governments make benefit payments.

(2)

Figure 1 shows the UK's imports and exports for the year ending July 2019.

	£bn
Imports	689.9
Exports	646.7
Total UK trade	1 336.6

Figure 1

(Source: Department for International Trade: UK Trade in Numbers September 2019)

(e) Using the data in Figure 1, calculate in £bn, **the current account** for the UK year ending July 2019. You are advised to show your working.

(2)

6. Question 1 · part g · 3 marks

2022 JUN · Paper 02

Further practice · Attempt part g only.

In December 2019, the UK and the European Union (EU) negotiated North Sea fishing quotas for 2020. It was agreed to increase the fishing quota for haddock by 30%.

(f) Using the diagram below, draw the effects of the introduction of the new quota on the equilibrium price and quantity of haddock. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

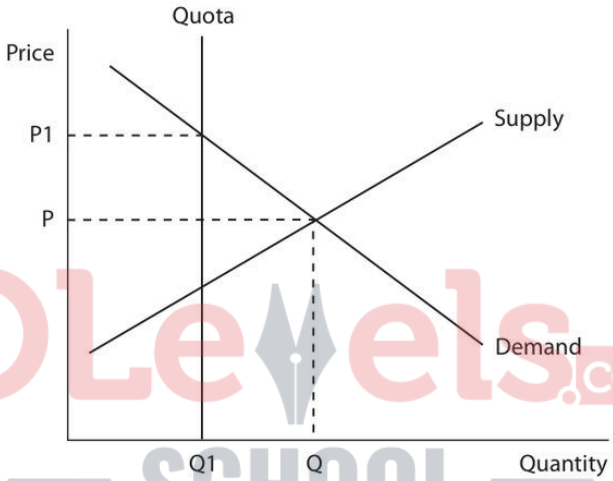


Figure 2

Norway had a current account surplus of 19.07bn Norwegian Krone (NOK) in the fourth quarter of 2019.

(g) Explain **one** possible reason why a country such as Norway had a current account surplus.

(3)

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6. Question 1 · part g · 3 marks

2022 JUN · Paper 02

Further practice · Attempt part g only.

The rate of Value Added Tax (VAT), a type of indirect taxation in the UK, is 20%.

(h) With reference to the data above and your knowledge of economics, analyse how a reduction in indirect taxation is likely to affect the standard of living in a country such as the UK.

(6)

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(Total for Question 1 = 20 marks)

6. Question 1 · part g · 3 marks · Working and answer

Working and answer

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7. Question 3 · part c · 3 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part c only.

3 (a) Which **one** of the following is an example of Foreign Direct Investment (FDI)?

(1)

- ☒ **A** An Indian garment factory selling clothes to the UK
- ☒ **B** The Indian Government investing in the Indian rail network
- ☒ **C** The construction of a factory in India by a Chinese firm
- ☒ **D** An Indian supermarket opening new stores in India

(b) If the exchange rate changes from £1 = $1.40 to £1 = $1.30 then

(1)

- ☒ **A** the UK pound (£) has appreciated against the US dollar ($)
- ☒ **B** US holidays will be cheaper for UK tourists
- ☒ **C** US exports to the UK will be cheaper
- ☒ **D** UK exports to the US will be cheaper

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7. Question 3 · part c · 3 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part c only.

In November 2020, Pakistan recorded a current account surplus of $1.64bn. This was its fifth consecutive current account surplus.

(c) Explain **one** reason why an improvement in the quality of domestic goods may have resulted in a positive impact on Pakistan's current account.

(3)

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7. Question 3 · part c · 3 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part c only.

China has been investing in healthcare as the main way to reduce poverty. Over 90% of the medical bills of patients are now paid by the government.

(d) Analyse the benefits of investing in healthcare for a country such as China.

(6)

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7. Question 3 · part c · 3 marks · Working and answer

Working and answer

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8. Question 3 · part c · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part c only.

3 (a) A decrease in unemployment is likely to result in

(1)

- ☒ **A** a decrease in tax revenues
- ☒ **B** a decrease in economic growth
- ☒ **C** an increase in inflation
- ☒ **D** an increase in relative poverty

(b) Which **one** of the following is a possible disadvantage of Foreign Direct Investment (FDI)?

(1)

- ☒ **A** Increased level of skills
- ☒ **B** Greater environmental damage
- ☒ **C** Higher employment levels
- ☒ **D** Faster economic growth

In December 2021, the US current account deficit increased to $214.8bn. This was the largest deficit since 2006.

(c) Explain **one** reason why an increase in the quality of foreign goods may have resulted in a negative impact on the US current account.

(3)

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8. Question 3 · part c · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part c only.

In December 2021, the UK and Australia signed a free trade agreement. The agreement will remove 99% of the tariffs on imports from Australia.

(d) With reference to the data above and your knowledge of economics, analyse the disadvantages of free trade for UK firms.

(6)

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14

P 7 4 0 5 8 R A 0 1 4 2 4

8. Question 3 · part c · 3 marks · Working and answer

Working and answer

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9. Question 3 · part c · 3 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.

3 (a) How many UK pounds (£) can be bought with $50 if the exchange rate is $1 = £0.75?

(1)

- ☒ **A** £25
- ☒ **B** £37.50
- ☒ **C** £66.66
- ☒ **D** £75

Many governments provide parks.

(b) Which **one** of the following is a reason for this provision?

(1)

- ☒ **A** To reduce the number of tourists
- ☒ **B** To reduce property values in the area
- ☒ **C** To reduce damage to the environment
- ☒ **D** To reduce space for leisure and recreation

South Korea had a current account surplus of $880m in October 2022.

(c) Explain **one** reason why an increase in the price of imports may have had a positive impact on South Korea's current account.

(3)

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9. Question 3 · part c · 3 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.

In December 2022, the US Federal Reserve raised interest rates for the seventh time that year to 4.5%, its highest level in 15 years. Interest rates are predicted to increase to 5.25% by the end of 2023.

(d) With reference to the data above and your knowledge of economics, analyse how monetary policy can help to reduce inflation in a country such as the US.

(6)

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9. Question 3 · part c · 3 marks · Working and answer

Working and answer

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10. Question 2 · part c · 1 mark

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

2 (a) Which **one** of the following is the calculation for the rate of unemployment in a country?

(1)

- ☒ **A** Total labour force/Total population × 100
- ☒ **B** Number of unemployed/Total labour force × 100
- ☒ **C** Number of employed/Total labour force × 100
- ☒ **D** Total unemployment/Total population × 100

(b) Which **one** of the following describes a role of the World Trade Organization (WTO)?

(1)

- ☒ **A** Help with trade negotiations
- ☒ **B** Regulates multinational corporations
- ☒ **C** Provides financial assistance to developing countries
- ☒ **D** Stabilises exchange rates

(c) State **one** possible reason for a current account surplus. (1)

(d) What is meant by the term relative poverty?

(2)

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10. Question 2 · part c · 1 mark · Working and answer

Working and answer

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11. Question 4 · part b · 6 marks

2025 NOV · Paper 02

Further practice · Attempt part b only.

4 France is one of the UK's largest export markets. In 2023, the total of UK exports to France was valued at £45bn.

The average exchange rate of £ to € was £1 = €1.15 in 2023.

(a) Calculate, to **two** decimal places, the **total value of UK exports** to France in euros (€bn) in 2023. You are advised to show your working.

(2)

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20

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11. Question 4 · part b · 6 marks

2025 NOV · Paper 02

Further practice · Attempt part b only.

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France is Europe's second largest consumer base with a high-income population. The French retail market is highly developed and its luxury sector is well known around the world. When exporting to France, UK firms must consider factors such as quality in order to be successful in this very competitive market.

(b) With reference to the data above and your knowledge of economics, analyse why an improvement in the quality of UK goods may result in a positive impact on the UK's current account.

(6)

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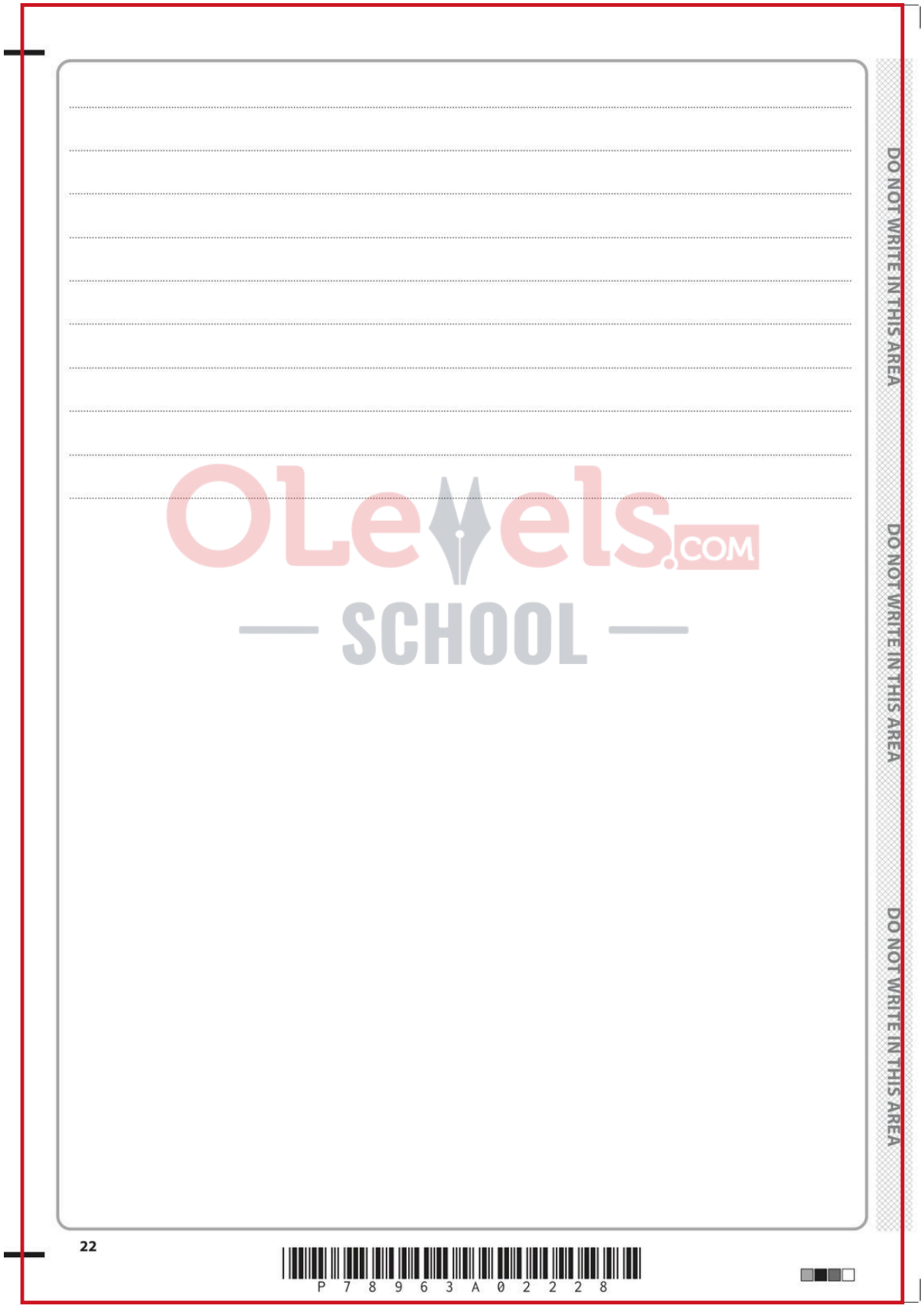
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11. Question 4 · part b · 6 marks

2025 NOV · Paper 02

Further practice · Attempt part b only.



11. Question 4 · part b · 6 marks

2025 NOV · Paper 02

Further practice · Attempt part b only.

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As part of its fiscal policy, the UK Government has promised additional funding and increased pay for doctors over the next five years to help the country's struggling healthcare system.

The UK public healthcare system is under considerable strain. For several months hospitals have been dealing with a lack of staff and long waiting times for medical care, with surgeries postponed or cancelled. At the end of April 2024, 7.6 million people were still waiting for treatment.

The UK's healthcare system is paid for by taxpayers to provide free access to hospital and doctor services for all citizens. The government is unsure how this additional investment will be funded and currently spends around 9.3% of its gross domestic product (GDP) on healthcare.

(c) With reference to the data above and your knowledge of economics, evaluate the possible economic benefits of increasing government expenditure on healthcare for a country such as the UK.

(12)

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P 7 8 9 6 3 A 0 2 3 2 8

23

Turn over ▶

11. Question 4 · part b · 6 marks · Working and answer

Working and answer

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12. Question 2 · part c · 1 mark

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

2 (a) GDP per capita is a measure of a country's economic output that accounts for population.

If Sweden has a population of 10 million and a GDP of $511 bn (1bn = 1 000 000 000), then its GDP per capita is

(1)

- ☒ **A** $511
- ☒ **B** $5 110
- ☒ **C** $51 100
- ☒ **D** $511 000

(b) What is the name of the policy that focuses on interest rate changes?

(1)

- ☒ **A** Deregulation
- ☒ **B** Exchange rate
- ☒ **C** Monetary
- ☒ **D** Fiscal

(c) State **one** impact of a current account deficit. (1)

(d) What is meant by the term absolute poverty? (2)

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12. Question 2 · part c · 1 mark · Working and answer

Working and answer

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13. Question 4 · part b · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

4 Figure 4 shows the tariff on clothing imported into China in 2018.

Product	Imported Price yuan (¥)	Tariff (%)
Clothing	225	8

Figure 4

(a) Calculate the final selling price of clothing in yuan (¥) after the tariff has been added. You are advised to show your working.

(2)

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13. Question 4 · part b · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

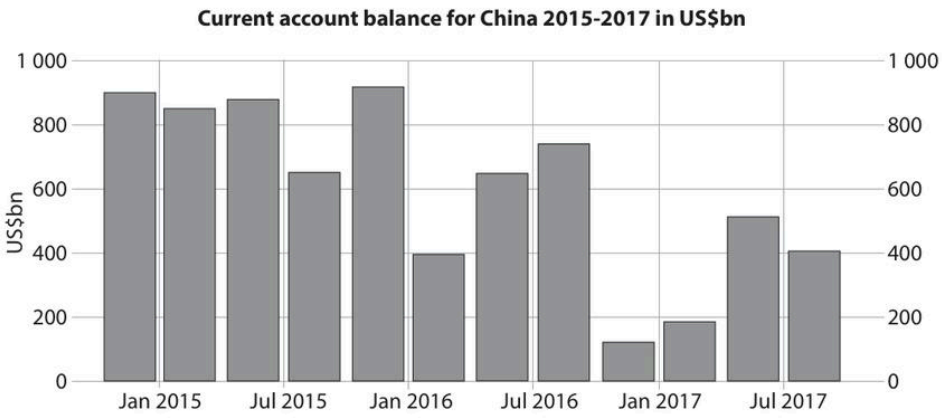


Figure 5

(Source: adapted from https://tradingeconomics.com/china/current-account)

(b) Analyse the benefits of a current account surplus for a country such as China.

(6)

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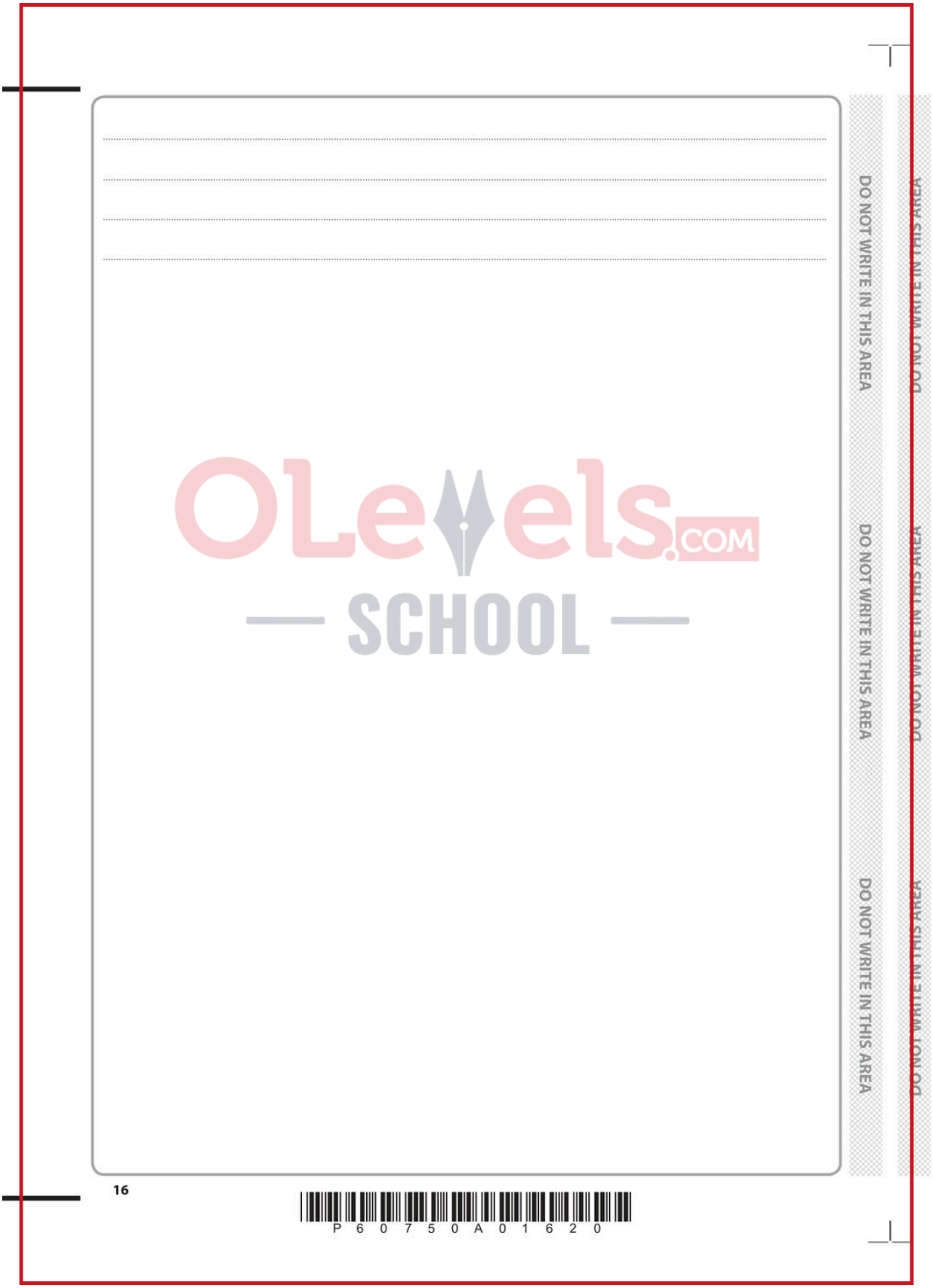
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13. Question 4 · part b · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.



13. Question 4 · part b · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

Following a trip to Asia in 2017 by US President Donald Trump, China has reduced tariffs from 17.3% to 7.7% on over 200 consumer products. These include pharmaceuticals, food, health supplements and clothing.

Many multinational corporations may have major financial gains. Nestle's sales could increase by 15% or $18.7bn because of the reduction in tariffs. Procter & Gamble, will also benefit from tariff reductions on items ranging from shampoos to electronic toothbrushes.

(c) With reference to the data above and your knowledge of economics, evaluate the possible benefits of reducing the level of tariffs on imported goods and services to China.

(12)

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13. Question 4 · part b · 6 marks · Working and answer

Working and answer

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14. Question 4 · part b · 6 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part b only.

4 Figure 3 shows the gross domestic product (GDP) per capita for Egypt in 2019 and 2020.

	2019	2020
GDP per capita US$	3 043	3 561

Figure 3

(Source adapted from: https://www.statista.com/statistics/377353/gross-domestic-product-gdp-per-capita-in-egypt/)

(a) Calculate, to two decimal places, the **percentage change in GDP per capita** in Egypt between 2019 and 2020. You are advised to show your working.

(2)

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14. Question 4 · part b · 6 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part b only.

Figure 4 shows the quarterly current account deficit (US$m) for Egypt from January 2018 until October 2020.

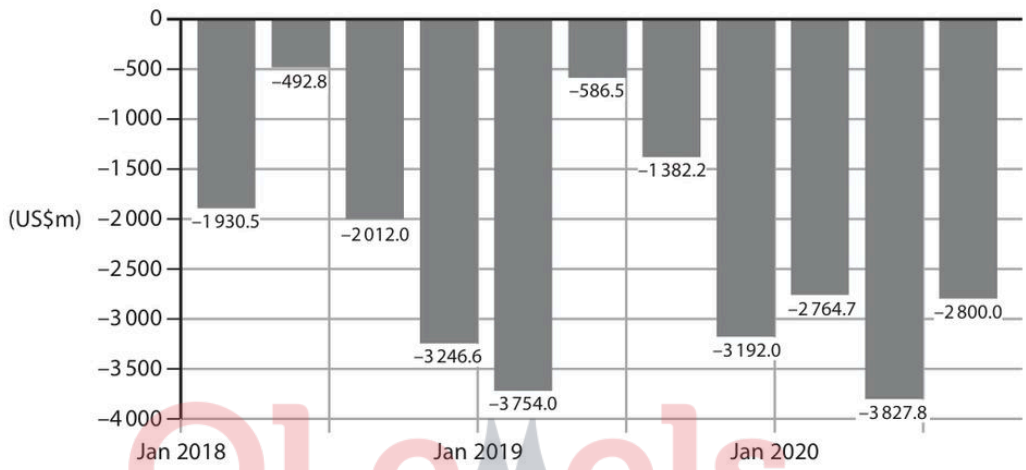


Figure 4

(Source adapted from: https://tradingeconomics.com/egypt/current-account)

(b) Analyse the possible impact on Egypt of having a continuous current account deficit.

(6)

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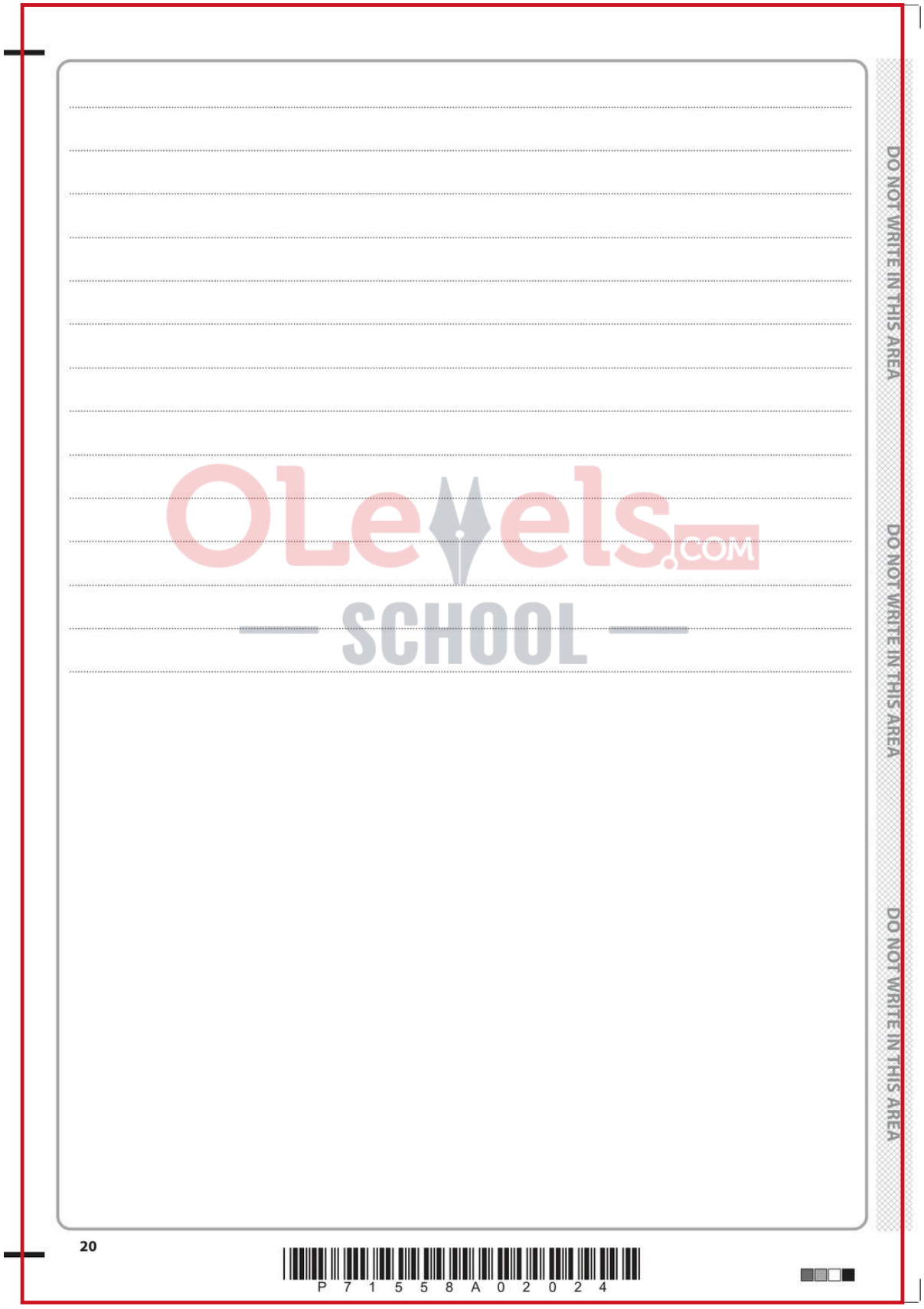
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Turn over

14. Question 4 · part b · 6 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part b only.



14. Question 4 · part b · 6 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part b only.

The Egyptian economy is expected to grow between 2.8% and 4% in the financial year 2020–2021. Even higher levels of economic growth are forecast for the following year.

Unemployment rates have fallen to 7.3% in the third quarter of 2020 from 7.8% in 2019. Egypt's annual inflation rate increased to 6.3% in 2020, up from 2.7% in 2019.

(Source adapted from: https://www.arabnews.com/node/1770221/business-economy)

(c) With reference to the data above and your knowledge of economics, evaluate the extent to which fiscal policy can be used to control inflation in a country such as Egypt.

(12)

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14. Question 4 · part b · 6 marks · Working and answer

Working and answer

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15. Question 1 · part h · 6 marks

2023 JAN · Paper 02

Further practice · Attempt part h only.

1 (a) Which **one** of the following is a role of the World Trade Organization (WTO)?

(1)

- ☒ **A** Writing off debts
- ☒ **B** Settling trade disputes
- ☒ **C** Increasing trade barriers
- ☒ **D** Paying subsidies to producers

(b) Which **one** of the following is an example of a supply-side policy to increase output?

(1)

- ☒ **A** Increasing income tax
- ☒ **B** Increasing interest rates
- ☒ **C** Increasing the school-leaving age
- ☒ **D** Increasing business taxes

(c) What is meant by the term economies of scale?

(2)

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P 7 1 5 5 7 A 0 2 2 0

15. Question 1 · part h · 6 marks

2023 JAN · Paper 02

Further practice · Attempt part h only.

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(d) Describe **one** advantage of free trade for consumers.

(2)

Figure 1 shows the income tax rates for the UK in 2020–2021. Sofia earns £35 000 as a teacher. This means Sofia only pays 20% tax on £22 500 of her salary.

Taxable income	Tax rate (%)
0 to £12 500	0%
£12 501 to £50 000	20%
£50 001 to £150 000	40%
Over £150 000	45%

Figure 1

(Source: https://www.gov.uk/income-tax-rates)

(e) Calculate the **net pay** in £ for Sofia. You are advised to show your working.

(2)

15. Question 1 · part h · 6 marks

2023 JAN · Paper 02

Further practice · Attempt part h only.

In May 2020, China introduced a tariff of 80% on Australian barley.

(f) Using the diagram below, draw the effects of the introduction of a tariff on the equilibrium price and quantity of Australian barley. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

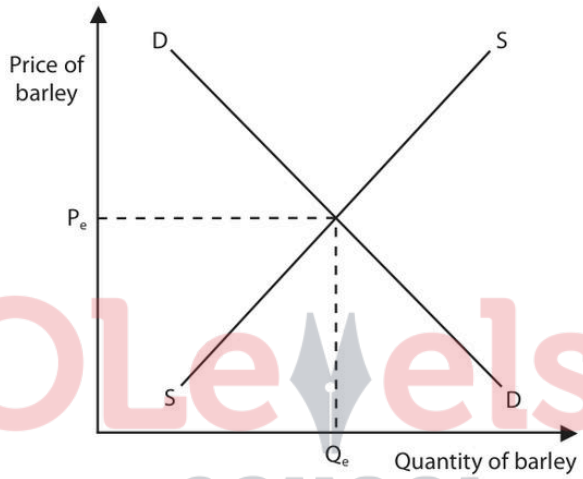


Figure 2

Tourism is a major sector in the French economy. It employs around 2 million people, both directly and indirectly.

(g) Explain **one** reason why some people in the tourism sector might suffer from seasonal unemployment in a country such as France.

(3)

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15. Question 1 · part h · 6 marks

2023 JAN · Paper 02

Further practice · Attempt part h only.

In December 2020, Australia had a current account surplus of $18.1bn, a rise of $4.4bn on the previous quarter.

(h) Analyse the benefits of a current account surplus for a country such as Australia.

(6)

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(Total for Question 1 = 20 marks)

15. Question 1 · part h · 6 marks · Working and answer

Working and answer

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16. Question 2 · part c · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part c only.

2 (a) What is the likely impact of lower transport and communication costs on an economy?

(1)

- ☒ **A** Increased unemployment
- ☒ **B** Decreased international trade
- ☒ **C** Increased economic growth
- ☒ **D** Decreased consumer spending

(b) Which **one** of the following types of unemployment is caused by changes in the business cycle?

(1)

- ☒ **A** Structural
- ☒ **B** Seasonal
- ☒ **C** Frictional
- ☒ **D** Cyclical

(c) State **one** possible impact of a current account deficit.

(1)

(d) What is meant by the term fines?

(2)

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16. Question 2 · part c · 1 mark · Working and answer

Working and answer

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Practice workbook · Macroeconomic objectives and trade-offs

The government's macroeconomic objectives and the conflicts between them: unemployment and inflation, growth and inflation, growth and the environment, and inflation and the current account.

14 question parts: 1 worked-example retry and 13 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T21-35

1. Question 4 · part b · 6 marks

2019 JUN · Paper 02

Worked-example retry · Attempt part b only.

4 GDP per capita is a measure of a country's economic output that accounts for population. Figure 4 shows the population and gross domestic product (GDP) for Vietnam in 2016.

	2016
Population (million)	92.7
GDP (US$ million)	202 600

Figure 4

(Source: © 2018 The World Bank Group)

(a) Calculate, to two decimal places, the GDP per capita for Vietnam in 2016. You are advised to show your working.

(2)

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1. Question 4 · part b · 6 marks

2019 JUN · Paper 02

Worked-example retry · Attempt part b only.

The unemployment rate fell in Vietnam between 2015 and 2016 but in the same period the inflation rate increased.

(b) Analyse how a fall in unemployment may have caused an increase in Vietnam's inflation rate.

(6)

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P 6 0 7 4 8 A 0 1 8 2 4

1. Question 4 · part b · 6 marks

2019 JUN · Paper 02

Worked-example retry · Attempt part b only.

A report by the charity Oxfam, stated that Vietnam has 210 super-rich people. Their combined earnings for one year are enough to take 3.2 million people out of poverty and end absolute poverty in Vietnam. To reduce inequality and poverty, Oxfam is calling on international leaders to increase taxes to fund healthcare, education and job creation. Oxfam also asked business leaders to pay employees a living wage and pay their fair share of tax.

(c) With reference to the data above and your knowledge of economics, evaluate whether an increase in progressive taxes is the most effective way to reduce inequality and poverty for a country such as Vietnam.

(12)

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1. Question 4 · part b · 6 marks · Working and answer

Working and answer

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2. Question 2 · part c · 1 mark

2020 JAN · Paper 02 (regional R)

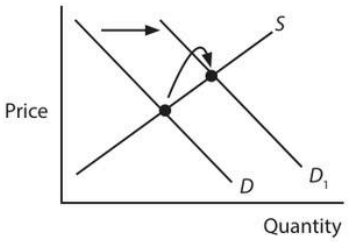
Further practice · Attempt part c only.

2 In 2018, the European Union (EU) trade bloc started to reduce agricultural subsidies to farmers within the EU.

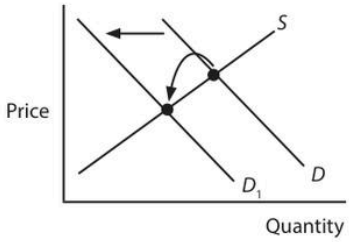
(a) Which **one** of the following diagrams shows the market for agricultural products following the removal of the subsidy?

(1)

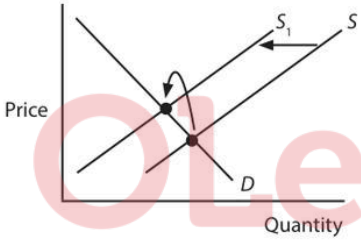
☒ **A**



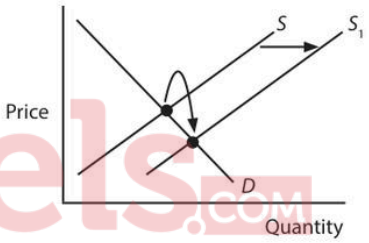
☒ **B**



☒ **C**



☒ **D**



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2. Question 2 · part c · 1 mark

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part c only.

(b) Which **one** of the following is likely to result from an increase in free trade?

(1)

- ☒ **A** Increased prices
- ☒ **B** Increased choice for consumers
- ☒ **C** Decrease in standards of living
- ☒ **D** Decrease in market opportunities for business

(c) State **one** macroeconomic objective.

(1)

(d) What is meant by the term revaluation?

(2)

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P 5 8 3 8 5 A 0 9 2 4

2. Question 2 · part c · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 3 · part c · 3 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part c only.

3 (a) Which **one** of the following policies is most likely to reduce the rate of inflation?

(1)

- ☒ **A** Lower interest rates
- ☒ **B** Increased money supply
- ☒ **C** Higher government spending
- ☒ **D** Higher taxation

(b) In an exchange rate system with no government intervention, a decrease in the exchange rate is known as

(1)

- ☒ **A** appreciation
- ☒ **B** devaluation
- ☒ **C** depreciation
- ☒ **D** revaluation

In 2018, the annual rate of inflation in Egypt was 16% in September and 17.7% in October.

(c) Explain **one** likely impact of this change in inflation on the current account of the balance of payments for a country such as Egypt.

(3)

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3. Question 3 · part c · 3 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part c only.

The demand for the US$ changed following the publication in 2019 of the latest US growth rate report.

(d) Analyse the impact of currency speculators on the supply and demand of the currency for a country such as the US.

(6)

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Turn over

3. Question 3 · part c · 3 marks · Working and answer

Working and answer

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4. Question 1 · part d · 2 marks

2020 JAN · Paper 02

Further practice · Attempt part d only.

1 (a) International trade that takes place with no restrictions is known as

(1)

- ☒ **A** globalisation
- ☒ **B** protectionism
- ☒ **C** free trade
- ☒ **D** Foreign Direct Investment

(b) What is the name given to a country's exports and imports of services?

(1)

- ☒ **A** Visible trade
- ☒ **B** Invisible trade
- ☒ **C** Transfer payments
- ☒ **D** The balance of payments

(c) What is meant by the term unemployment?

(2)

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4. Question 1 · part d · 2 marks

2020 JAN · Paper 02

Further practice · Attempt part d only.

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(d) What is meant by the term trade-off?

(2)

(e) Calculate, to **two** decimal places, the **rate of unemployment** for a country which has a labour force of 72 million of which 8 million are unemployed. You are advised to show your working.

(2)

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4. Question 1 · part d · 2 marks · Working and answer

Working and answer

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5. Question 4 · part c · 12 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part c only.

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4 Figure 3 shows the amount the US spent on education in 2017–2018.

Fiscal Year	$bn
2017	68
2018	59

(Source adapted from: https://www2.ed.gov/about/overview/budget/budget18/summary/18summary.pdf)

Figure 3

(a) Calculate to two decimal places the **percentage change** in the amount spent on education in the US from 2017–2018. You are advised to show your working.

(2)

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5. Question 4 · part c · 12 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part c only.

The World Trade Organisation (WTO) has 164 members representing 98% of world trade. The US joined in 1995 and has been involved in 422 trade disputes.

(b) Analyse the role of the World Trade Organisation (WTO) in the growth of international trade.

(6)

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5. Question 4 · part c · 12 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part c only.

In 2018, the USA increased its emissions of carbon dioxide. This increase happened even though large numbers of coal-fired power stations were closed and American consumers purchased nearly double the number of electric cars. The main reason, often stated as a benefit to an economy, was high economic growth.

A booming US economy has meant increased industrial production, more truck and air travel and more offices and other workplaces to heat. The result is that the USA will have to do even more in the coming years to meet international commitments for greenhouse gas reductions by increasing its protection of the environment.

(Source adapted from: https://www.nbcnews.com/news/us-news/economic-boom-spikes-carbon-emissions-despite-green-tech-gains-n956336)

(c) With reference to the data above and your knowledge of economics, evaluate whether there is a trade-off between economic growth and environmental protection for a country such as the USA.

(12)

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5. Question 4 · part c · 12 marks

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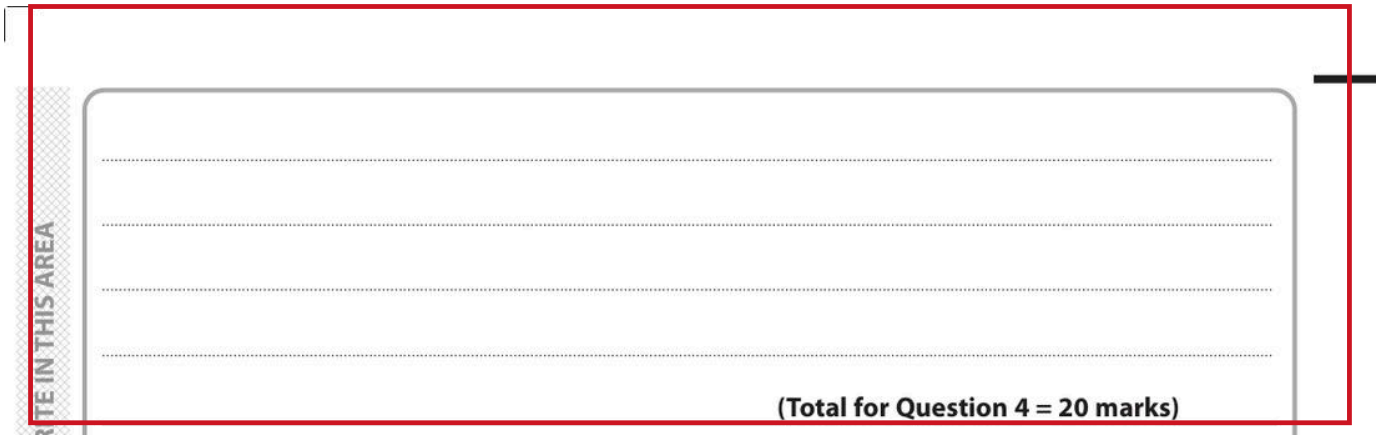
Further practice · Attempt part c only.



5. Question 4 · part c · 12 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part c only.



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5. Question 4 · part c · 12 marks · Working and answer

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6. Question 3 · part a · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part a only.

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3 (a) Which **one** of the following is likely to be a trade-off as a result of increased economic growth?

(1)

- ☒ **A** Increased employment
- ☒ **B** Increased inflation
- ☒ **C** Higher standards of living
- ☒ **D** Higher fiscal surplus

(b) Which type of taxation has a higher proportion of income paid as income rises?

(1)

- ☒ **A** Indirect
- ☒ **B** Progressive
- ☒ **C** Business
- ☒ **D** Value added tax (VAT)

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6. Question 3 · part a · 1 mark · Working and answer

Working and answer

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7. Question 2 · part a · 1 mark

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

2 (a) Which **one** of the following means having more of one thing but less of another thing?

(1)

- ☒ **A** Menu costs
- ☒ **B** Trade-off
- ☒ **C** Opportunity cost
- ☒ **D** Trading bloc

(b) Which **one** of the following is a role of a central bank?

(1)

- ☒ **A** Investing in firms
- ☒ **B** Raising taxes
- ☒ **C** Asset purchasing
- ☒ **D** Lending money to individuals

(c) State **one** type of inflation. (1)

(d) What is meant by the term fiscal surplus? (2)

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7. Question 2 · part a · 1 mark · Working and answer

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8. Question 2 · part c · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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2 (a) When a central bank buys government bonds from commercial banks it is known as

(1)

- ☒ **A** asset purchasing
- ☒ **B** privatisation
- ☒ **C** payment of interest
- ☒ **D** deregulation

The euro (€) is the currency used in Italy and the pound sterling (£) is the currency used in the UK.

(b) If the exchange rate changes from £1 = €1.20 to £1 = €1.10 then

(1)

- ☒ **A** UK pound sterling (£) has appreciated against the euro (€)
- ☒ **B** holidays in Italy will be cheaper for UK tourists
- ☒ **C** imports from Italy to the UK will be cheaper
- ☒ **D** UK exports to Italy will be cheaper

(c) State **one** possible trade-off with economic growth.

(1)

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(d) What is meant by the term devaluation?

(2)

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Turn over ▶

8. Question 2 · part c · 1 mark · Working and answer

Working and answer

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9. Question 3 · part a · 1 mark

2023 JUN · Paper 02

Further practice · Attempt part a only.

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3 (a) A decrease in unemployment is likely to result in

(1)

- ☒ **A** a decrease in tax revenues
- ☒ **B** a decrease in economic growth
- ☒ **C** an increase in inflation
- ☒ **D** an increase in relative poverty

(b) Which **one** of the following is a possible disadvantage of Foreign Direct Investment (FDI)?

(1)

- ☒ **A** Increased level of skills
- ☒ **B** Greater environmental damage
- ☒ **C** Higher employment levels
- ☒ **D** Faster economic growth

In December 2021, the US current account deficit increased to $214.8bn. This was the largest deficit since 2006.

(c) Explain **one** reason why an increase in the quality of foreign goods may have resulted in a negative impact on the US current account.

(3)

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9. Question 3 · part a · 1 mark · Working and answer

Working and answer

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10. Question 2 · part c · 1 mark

2023 NOV · Paper 02

Further practice · Attempt part c only.

2 (a) What is the main reason for a government to devalue its currency?

(1)

- ☒ **A** To increase the demand for its exports
- ☒ **B** To decrease the demand for its exports
- ☒ **C** To increase the demand for imports
- ☒ **D** To decrease foreign investment

(b) Which **one** of the following is the most likely reason for increased globalisation?

(1)

- ☒ **A** An increase in tariffs and quotas
- ☒ **B** An increase in the cost of transport
- ☒ **C** An increase in the significance of MNCs
- ☒ **D** An increase in the cost of communication

(c) State **one** possible macroeconomic objective for a government.

(1)

(d) What is meant by the term seasonal unemployment?

(2)

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10. Question 2 · part c · 1 mark · Working and answer

Working and answer

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11. Question 1 · part g · 3 marks

2024 JUN · Paper 02

Further practice · Attempt part g only.

1 (a) Which **one** of the following is an advantage of multinational corporations (MNCs) operating in a country?

(1)

- ☒ **A** Avoiding paying taxes
- ☒ **B** Environmental damage
- ☒ **C** Developing skills
- ☒ **D** Moving profits abroad

(b) Which **one** of the following is a measurement of gross domestic product (GDP)?

(1)

- ☒ **A** Total value of goods and services traded within an economy
- ☒ **B** Total value of goods and services produced within an economy
- ☒ **C** Total value of goods and services exported by an economy
- ☒ **D** Total value of goods and services imported by an economy

(c) What is meant by the term the current account on the balance of payments?

(2)

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11. Question 1 · part g · 3 marks

2024 JUN · Paper 02

Further practice · Attempt part g only.

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(d) Describe **one** way business activity can damage the environment.

(2)

Figure 1 shows selected UK Government receipts from taxation in February 2023.

	£bn
Income tax	20.0
Sales tax (VAT/GST)	14.3
Business tax	7.6
Excise duties	3.7
Customs duties	0.4

Figure 1

(e) Calculate the **total amount of revenue** in £bn raised by direct taxes in February 2023. You are advised to show your working.

(2)

11. Question 1 · part g · 3 marks

2024 JUN · Paper 02

Further practice · Attempt part g only.

In January 2023, China introduced a quota on imports of crude oil into the country.

(f) Using the diagram below, draw the effects of the introduction of the quota on the equilibrium price and quantity of crude oil in China. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

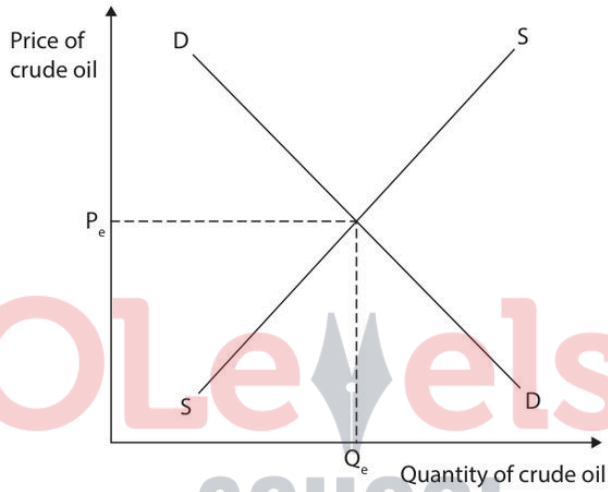


Figure 2

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11. Question 1 · part g · 3 marks

2024 JUN · Paper 02

Further practice · Attempt part g only.

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In 2021, the global economy experienced a period of rapid growth. This growth was accompanied by rising inflation in many parts of the world due to problems with the supply of goods.

(g) Explain **one** reason why there may be a link between economic growth and inflation for an economy.

(3)

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Turn over

11. Question 1 · part g · 3 marks

2024 JUN · Paper 02

Further practice · Attempt part g only.

The African Continental Free Trade Area (AfCFTA) is a free trade area that includes most of Africa. It connects 1.3bn people across 55 countries with a combined gross domestic product (GDP) of $3.4 trillion. South Africa is an important member of the AfCFTA.

(h) With reference to the data above and your knowledge of economics, analyse the disadvantages to firms in South Africa of being a member of the AfCFTA.

(6)

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11. Question 1 · part g · 3 marks · Working and answer

Working and answer

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12. Question 2 · part e · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part e only.

2 (a) Which **one** of the following is a rise in the value of an exchange rate in a floating exchange rate system?

(1)

- ☒ **A** Appreciation
- ☒ **B** Depreciation
- ☒ **C** Revaluation
- ☒ **D** Devaluation

(b) Which **one** of the following is a reason why there is protection for international trade?

(1)

- ☒ **A** To allow dumping
- ☒ **B** To promote free trade
- ☒ **C** To protect domestic jobs
- ☒ **D** To increase the current account deficit

(c) State **one** possible impact of globalisation on consumers.

(1)

(d) What is meant by the term asset purchasing?

(2)

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12. Question 2 · part e · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part e only.

In China there are restrictions on coal consumption and emissions from factories. These restrictions have led to job losses in some industries.

(e) Explain **one** reason why there might be a trade-off between economic growth and environmental protection for an economy such as China.

(3)

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12. Question 2 · part e · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part e only.

Figure 3 shows the supply of and demand for UK pounds (£) and the equilibrium exchange rate against the US dollar ($).

(f) Using the diagram below, draw the likely effect of a decrease in imports from the US on the equilibrium exchange rate of the UK pound (£) against the US dollar ($). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

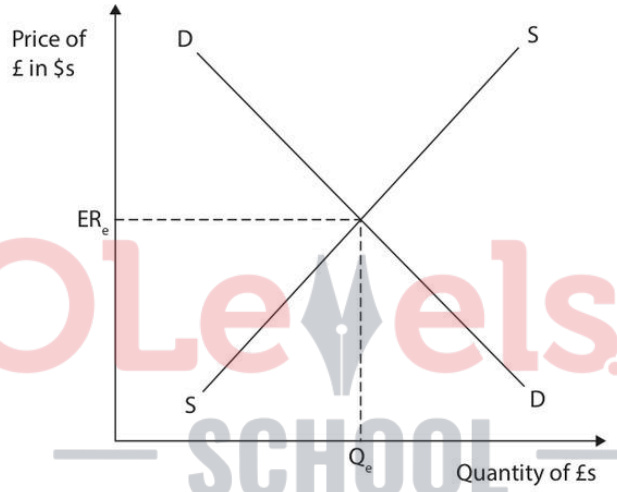


Figure 3

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12. Question 2 · part e · 3 marks · Working and answer

Working and answer

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13. Question 2 · part c · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

2 (a) The percentage of income tax paid by an individual in a progressive tax system

(1)

- ☒ **A** remains the same for all income levels
- ☒ **B** decreases with higher income levels
- ☒ **C** increases with higher income levels
- ☒ **D** is capped once income levels reach a certain threshold

(b) A depreciation in a country's exchange rate is most likely to lead to

(1)

- ☒ **A** an increase in exports and a decrease in imports
- ☒ **B** a decrease in exports and a decrease in imports
- ☒ **C** an increase in exports and an increase in imports
- ☒ **D** a decrease in exports and an increase in imports

(c) State **one** possible trade-off with inflation.

(1)

(d) What is meant by the term direct tax?

(2)

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13. Question 2 · part c · 1 mark · Working and answer

Working and answer

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14. Question 1 · part b · 1 mark

2025 JUN · Paper 02

Further practice · Attempt part b only.

1 (a) Which **one** of the following is the most likely reason for increased globalisation?

(1)

- ☒ **A** Higher number of tariffs and quotas
- ☒ **B** Lower transportation costs
- ☒ **C** Reduced significance of multinational corporations
- ☒ **D** Increased communication costs

(b) What is likely to happen if a government successfully reduces unemployment?

(1)

- ☒ **A** Inflation might rise as more people have money to spend
- ☒ **B** More people working leads to lower overall economic growth
- ☒ **C** Inflation decreases because people have less money to spend
- ☒ **D** Government spending on benefits would increase

(c) What is meant by the term trading bloc?

(2)

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14. Question 1 · part b · 1 mark · Working and answer

Working and answer

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